

EXTERNAL SECTOR: PLAYING THE LONG GAME

India's external sector has evolved amidst a global environment characterised by heightened trade policy uncertainty, geopolitical realignments, and a structural shift away from a hyper-globalisation phase. The reconfiguration of global trade and investment flows, increasingly influenced by considerations of national security, technological sovereignty, and strategic autonomy, has introduced both new constraints and opportunities for emerging economies. In this changing environment, India's external performance demonstrates resilience to global shocks and highlights the structural characteristics associated with a rapidly growing economy that is integrating more deeply into global markets.

On the trade front, India's total exports reached record levels of USD 825.3 billion in FY25 and USD 418.5 billion in H1 FY26, driven by strong growth in services exports and sustained momentum in non-petroleum, non-gems, and jewellery exports. The expansion of higher-value manufacturing exports, especially in electronics, pharmaceuticals, and electrical machinery, along with diversification of export destinations and import sources, has strengthened resilience amid rising protectionism and tariff uncertainties. The services trade surplus remains a key stabilising factor, consistently offsetting a large portion of the merchandise trade deficit, supported by strong growth in software, business services, and the expanding role of Global Capability Centres.

India's current account remains stable, buoyed by robust inflows from services exports and remittances. On the capital account, India has attracted significant gross investment inflows despite a subdued global environment for foreign direct investment (FDI) and volatile portfolio flows. Gross FDI inflows have remained resilient, supported by equity investments and greenfield projects, while portfolio flows have been volatile, reflecting global financial conditions. External buffers have further strengthened, with foreign exchange reserves providing comfortable import cover and robust protection against external liabilities. India's international investment position has steadily improved, and its external debt remains moderate, with a favourable maturity profile and high reserve coverage.

INTRODUCTION

4.1 The global economic landscape is undergoing a structural reordering, signalling the ebb of an era marked by seamless globalisation and trade liberalisation. A more

fragmented and cautious world is emerging, one where protectionist instincts are taking precedence over outreach for imports, supply chains are being recalibrated in response to geopolitical shifts, and the terms of engagement are shifting more toward bilateralism. While the full impact of recent trade policy shifts on global value chains (GVC) is still unfolding, the vulnerabilities are already visible. Accordingly, economies likely to be impacted by these sudden shifts are now turning inward, strategically seeking to fortify their domestic capacities and reduce overdependence on transnational value chains.

4.2 This pivot is not merely a cyclical adjustment in the aftermath of the COVID-19 pandemic-induced disruptions; it marks a secular shift in the way the global order is structured. The Trade Policy Uncertainty (TPU) Index and the Global Economic Policy Uncertainty (GEPU) Index peaked in April 2025, driven by three converging factors: the weakening of regional and multilateral trade agreements that had previously provided stability, countries' pursuit of sovereign interests through industrial policies, and intensifying competition for rare earth minerals. (UNCTAD, 2025).¹

4.3 The global economy continues to adapt to a landscape reshaped by new policy measures. While some of the extreme effects of higher tariffs have been mitigated through subsequent agreements and adjustments, the overall environment remains volatile. The contours of global integration are being redrawn with national security, technological sovereignty, and the quest for resilience at the core.

4.4 India's external sector includes international trade, investment, capital flows, and external debt, and plays a vital role in shaping the country's economic performance and its integration with the global economy. All these developments have profound implications for a developing economy like India, as this altered milieu presents both constraints and transformative opportunities.

4.5 Against this backdrop, this chapter examines India's external sector performance within the prevailing global environment. Section I presents the emerging global trade dynamics serving as the background for further commentary in the chapter. Section II examines trends in India's trade performance across both the merchandise and services sectors. This section particularly emphasises the performance of the Production-Linked Incentive (PLI) sectors and the diversification of the country's export destinations. Section III presents India's Balance of Payments (BoP) situation, highlighting current and capital account trends, foreign exchange reserves, exchange rate movements, and India's external debt position. The last section concludes the chapter with an outlook for India's external sector, considering the evolving global and domestic economic landscape.

GLOBAL TRADE DYNAMICS

4.6 The current global order faces three concurrent challenges: trade policy uncertainty driven by rising protectionism and retaliatory tariffs, strategic decoupling amongst

1 UNCTAD. (2025). Global Trade Update, September 2025, <https://tinyurl.com/42pzb8jn>.

major economies and the migration of national security tools into the domain of trade policy. This reorientation is evident across critical sectors. Semiconductor supply chains are being restructured to ensure technological autonomy and independence. Perceptions of geopolitical risk drive the diversification of critical minerals, telecom infrastructure, and pharmaceutical inputs. The use of investment screening regimes to protect sensitive technologies and restrictions on dual-use technologies exemplify this shift.

4.7 Parallel to trade uncertainty is the phenomenon of geopolitical realignment. The Russia-Ukraine conflict, the reconfiguration of energy trade routes and the expansion of BRICS exemplify this realignment. Furthermore, the emergence of ‘minilateral’ platforms, such as the Quadrilateral Security Dialogue and the Indo-Pacific Economic Framework for Prosperity, along with new connectivity corridors, including the India-Middle East-Europe Corridor, suggests that the dynamics of global relations are shifting. Supply chains are increasingly evaluated not merely in terms of cost efficiency but based on resilience and strategic autonomy. These shifts indicate the transition from unfettered integration to ‘geostrategic globalisation’, a world where countries remain interconnected but exercise greater caution regarding whom they trade with, how they source inputs, and which partners they depend upon.²

4.8 Geoeconomic factors are now critical determinants in shaping key bilateral trade patterns. These factors not only exert a substantial influence on trade relations among major economies but also affect the nature of their relationships with other economies.³ As shown in Chart IV.1, according to data from UNCTAD, friendshoring trends (trade growth between politically close countries) have consistently remained above the average levels seen in calendar year (CY) 2021. Notably, there has been a resurgence in friendshoring in CY 2025, following a slight decline observed in CY 2024. Nearshoring remains below its CY 2021 average; however, it improved in Q3 CY 2025, reflecting a slight increase in trade growth among geographically proximate countries.^{4,5} In parallel, trade concentration increased in CY 2025 after declining continuously in

2 Schindler, S., & Rolf, S. (2025). Geostrategic globalization: US–China rivalry, corporate strategy, and the new global economy. *Globalizations*, 22(6), 897–914, <https://doi.org/10.1080/14747731.2024.2434306>.

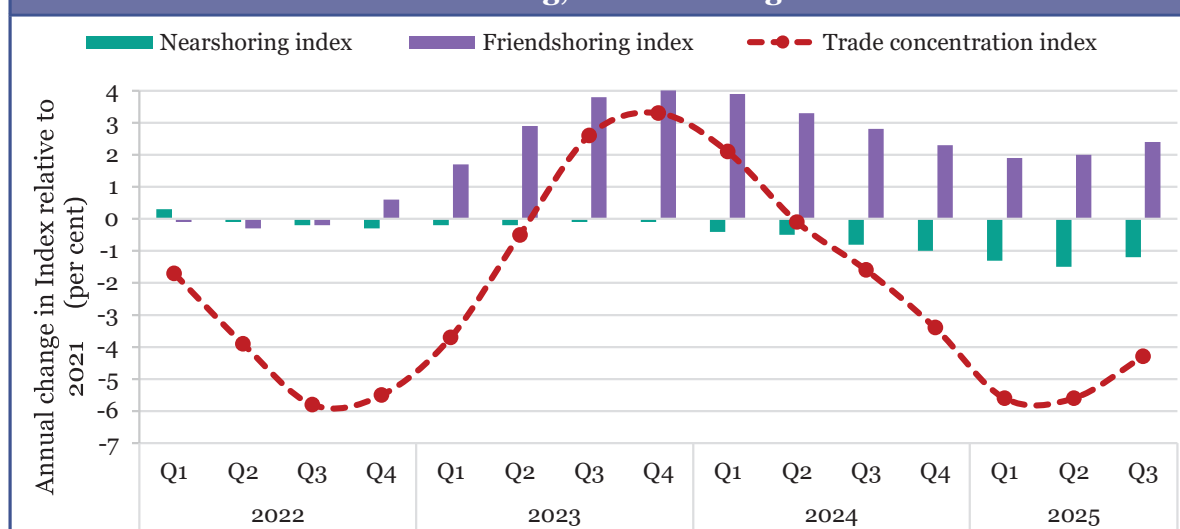
3 UNCTAD. (2025). Global Trade Update, July 2025, <https://tinyurl.com/4waa26ve>.

4 Friend-shoring involves increased trading with economies with politically aligned stances, and the Friendshoring Index is calculated as trade-weighted political proximity as measured by the United Nations’ voting patterns. The political closeness between an importer and its suppliers is calculated based on foreign policy similarity. Foreign policy similarity data is obtained from the Foreign Policy Similarity FPSIM dataset (Häge, 2017), which uses alliance ties (Häge, 2011) and United Nations General Assembly voting patterns (Voeten, 2013). Foreign policy similarity is measured as the average similarity in the voting record of each country pair, corrected for the fact that non-alliance ties are more frequent than alliance ties. An increase in the average political closeness of trade indicates a shift in the importer’s import structure towards countries that share similar global views, which is interpreted as a trend towards friend-shoring: <https://tinyurl.com/85yf6ee2>.

5 Nearshoring measures the geographic proximity of trade relationships and shows whether countries are sourcing from nearby partners or distant ones. Nearshoring Index is calculated as the reverse of the trade-weighted average distance in km. The average geographical distance of the imports of a node sourcing from different suppliers is computed using the bilateral geodesic distance between the node and each of its trading partners, weighted by the value of bilateral trade. A decrease in the average geodesic distance would denote a nearshoring trend: <https://tinyurl.com/85yf6ee2>.

CY 2024, indicating accelerated trade growth among the largest economies.^{6,7} Taken together, these trends underscore that a more comprehensive understanding of trade must therefore incorporate the interdependence of economics, security, technology, and politics, an intersection that defines the contemporary global order.

Chart IV.1: Trends in nearshoring, friendshoring and trade concentration



Source: UNCTAD estimates based on national statistics, <https://tinyurl.com/465jj8ms>.

- Note: 1. Nearshoring measures the geographic proximity of trade relationships and shows whether countries are sourcing from nearby partners or distant ones. Nearshoring Index is calculated as the reverse of the trade-weighted average distance in km.
2. Friend-shoring involves increased trading with economies with politically aligned stances, and the Friendshoring Index is calculated as trade-weighted political proximity as measured by the United Nations' voting patterns.
3. Trade Concentration describes how much of the global trade is concentrated in a small set of countries, and its index is calculated based on the Herfindahl concentration index.

Global trade performance in 2025

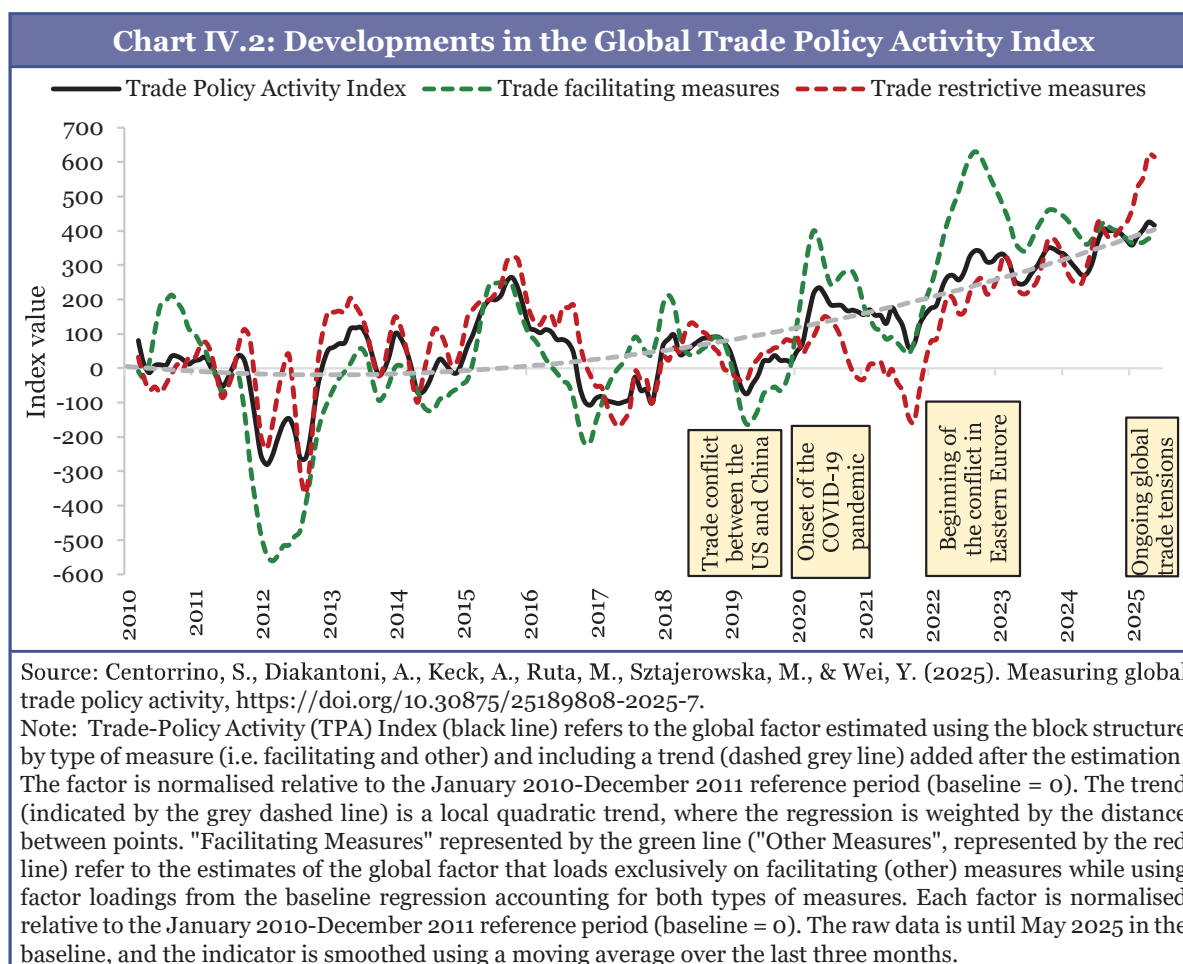
4.9 Since CY 2020, there has been a growing tendency to use trade policy for broader objectives such as environmental sustainability, industrial policy and national security. This trend is reflected in the Global Trade Policy Activity (GTPA) Index,⁸ which remained relatively stable from CY 2010 to CY 2020, but has experienced a significant increase since then. Key factors contributing to this rise include trade tensions between the US and China in CY 2019, the onset of the COVID-19 pandemic, the ongoing conflict in Eastern Europe, which began in CY 2022, and global trade tensions in CY 2025.

⁶ Trade Concentration describes how much of the global trade is concentrated in a small set of countries, and its index is calculated based on the Herfindahl concentration index.

⁷ UNCTAD. (2025) Global Trade Update, December 2025, <https://tinyurl.com/465jj8ms>.

⁸ The GTPA Index, developed by economists from the WTO and the IMF, draws insights from a wide range of information on trade policy measures. Using a Dynamic Factor Model, the index captures the dynamics of global trade policy covering 197 countries and territories. The index captures fluctuations in the trade policy, including structural shifts and short-term changes associated with specific events. The underlying data are sourced from the WTO's Trade Monitoring Database and Global Trade Alert, <https://doi.org/10.30875/25189808-2025-7>.

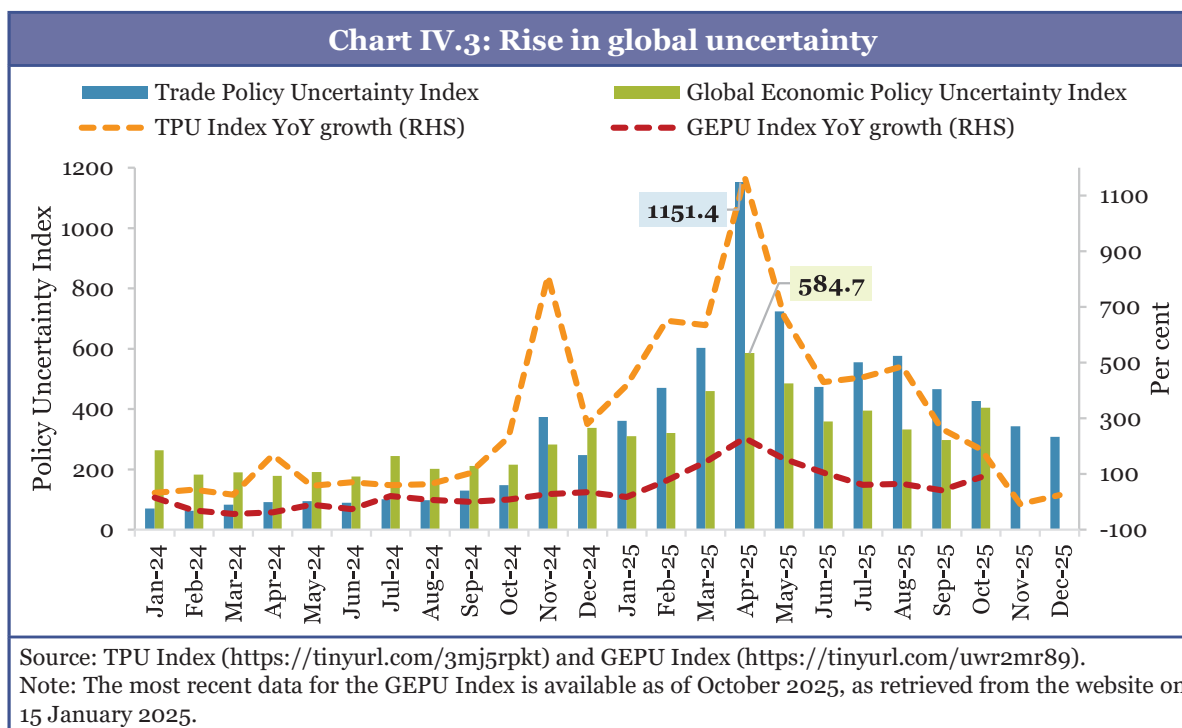
4.10 Chart IV.2 depicts the trends in the GTPA Index alongside measures that facilitate and restrict trade. During the COVID-19 pandemic and the ongoing conflict in Eastern Europe, trade facilitation measures increased in tandem with the implementation of restrictive measures. This was mainly due to countries' efforts to address shock-induced shortages of essential goods, such as medical equipment and raw materials. However, the overall rise in the GTPA Index in CY 2025, amidst global trade tensions, mainly stems from a sharper increase in the implementation of restrictive trade policies compared to trade facilitation measures.



4.11 The year CY 2025 has seen uncertainty reach unprecedented levels, as mentioned in the paragraphs above, posing considerable challenges for global trade. As shown in Chart IV.3, in April 2025, the TPU Index⁹ registered an increase of 1165.6 per cent

⁹ The Trade Policy Uncertainty index (TPU) is constructed by staff in the International Finance Division of the Federal Reserve Board and measures media attention to news related to trade policy uncertainty. The index reflects automated text-search results of the electronic archives of 7 leading newspapers discussing trade policy uncertainty: Boston Globe, Chicago Tribune, Guardian, Los Angeles Times, New York Times, Wall Street Journal, and Washington Post (accessed through ProQuest Historical Newspapers and ProQuest Newsstream). The index is scaled so that 100 indicates that 1 per cent of news articles contain references to TPU.

(YoY); similarly, the GEPU Index¹⁰ registered an increase of 228.2 per cent (YoY).^{11,12} These values represent the highest levels recorded since January 1960 and January 1997, respectively, for these indices.



4.12 The sources of this uncertainty are both economic and non-economic in nature. While industrial policies and competition for critical raw materials are driving supportive trade measures, persistent concerns over trade imbalances are simultaneously prompting corrective trade measures. Additionally, some nations are employing trade policy unilaterally to pursue their various domestic goals. These unilateral actions have, in turn, prompted retaliation. As rule-based trading systems weaken, strategic ambiguity is likely to characterise the trade policymaking process, further contributing to uncertainty.¹³

4.13 While a series of trade agreements between the major economies has contributed to a reduction in this uncertainty, it remains elevated due to the absence of clear, transparent, and sustainable agreements among these partners.

¹⁰ The Global Economic Policy Uncertainty (GEPU) Index is a GDP-weighted average of national Economic Policy Uncertainty (EPU) indices for 18 countries. The GDP for each country has been calculated based on purchasing power parity (PPP). Each monthly national EPU index value is proportional to the share of own-country newspaper articles that discuss economic policy uncertainty in that month. The 18 countries covered in the GEPU Index account for approximately 68 per cent of global output on a PPP-adjusted basis and 75 per cent of global output when calculated at market exchange rates as of 2024.

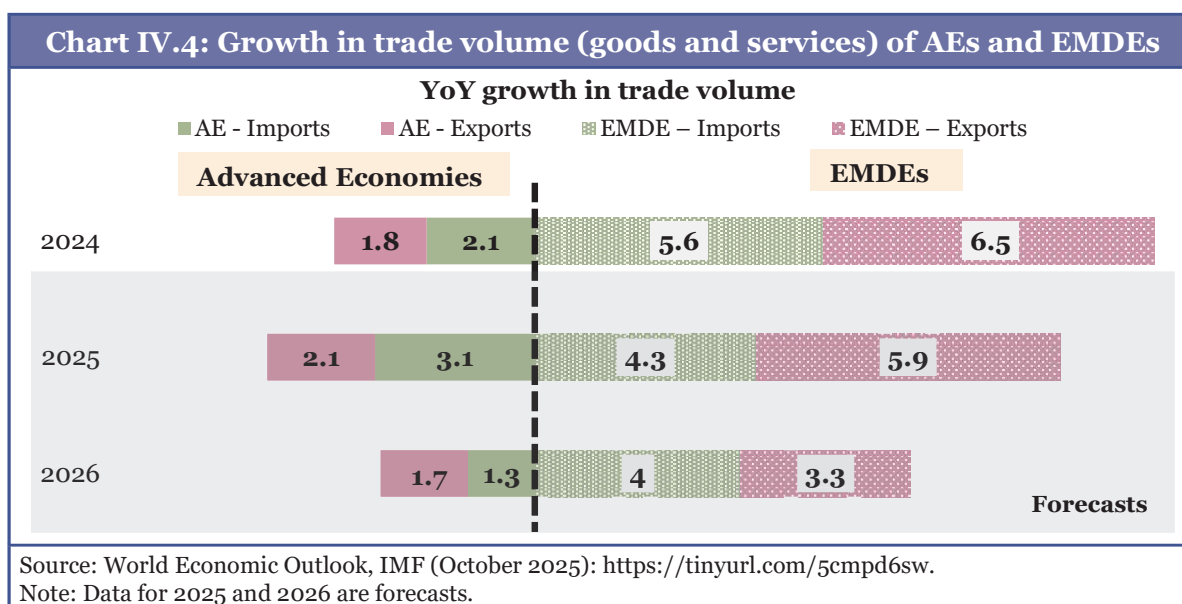
¹¹ Trade Policy Uncertainty Index, <https://tinyurl.com/3mj5rpkt>.

¹² Geopolitical Economic Policy Uncertainty Index, <https://tinyurl.com/uwr2mr89>.

¹³ Ibid note 1.

4.14 The global trade environment, as discussed above, has left a discernible imprint on global trade performance. The frontloading of trade orders in anticipation of higher tariffs has led to a significant increase in trade in CY 2025; however, this positive trend is constrained by ongoing fragmentation, which is seen to limit potential gains. Furthermore, the actual effective tariff rates¹⁴ have lagged behind the effective rate based on the announcements. This delay is attributed to factors such as stockpiling, pauses in tariffs, trade diversion and rerouting.¹⁵

4.15 As a result, the IMF's World Economic Outlook, October 2025, projected that global trade volume (goods & services) will grow at an average rate of 3.6 per cent during CY 2025 and then decrease to 2.3 per cent in CY 2026, which is markedly lower than the 3.5 per cent growth recorded in CY 2024. However, the trade performance of advanced economies (AEs) exhibits significant differences compared to that of emerging market and developing economies (EMDEs). Although growth forecasts for EMDEs in terms of trade volume for both imports and exports are expected to be higher compared to AEs, trade policy uncertainty is likely to have a more pronounced impact on the trade volumes of EMDEs than on those of AEs.



4.16 In this context, the following section provides an analysis of the performance of India's external sector within the backdrop of the current global environment. Despite ongoing challenges, including geopolitical realignments, trade disruptions, and tightening financial conditions, this sector has proven to be a fundamental pillar of strength for the country.

¹⁴ Actual effective tariff rates are defined as the duty paid on imports at customs as a percentage of the value of imports.

¹⁵ International Monetary Fund. (2025). World Economic Outlook: October 2025, <https://tinyurl.com/5cmpd6sw>.

TRENDS IN INDIA'S TRADE PERFORMANCE

4.17 Over the past decades, India has significantly deepened its integration with global markets, underpinned by strong export performance, a resilient services trade, and a widening network of trade partnerships. Recent years have showcased the country's trade performance as a reflection of growing competitiveness, diversification, and adaptability to shifting global demand dynamics. Additionally, the consistent rise in non-petroleum merchandise exports highlights the economy's expanding capacity for trade in high-value manufacturing and knowledge-intensive sectors.

4.18 The country's steady rise as a key player in global trade is evident in its increasing share of both global merchandise exports and commercial services exports. Between CY 2005 and CY 2024, India's share of global merchandise exports has nearly doubled, rising from 1 per cent to 1.8 per cent; similarly, its share in global commercial services exports has more than doubled, rising from 2 per cent to 4.3 per cent.¹⁶

4.19 The country has not only increased its share in global trade but has also diversified its partnerships and the range of products it trades. According to UNCTAD's Trade and Development Report 2025, India ranks third among countries in the Global South in terms of the diversity index of trade partnerships,¹⁷ following China and the UAE. India's index score of 3.2 exceeds that of all countries in the Global North, underscoring its resilience in the face of tariff uncertainties and other emerging challenges. In terms of the merchandise trade diversity indicator,¹⁸ India ranks fourth in the Global South, following Thailand, China and Turkey, with an index score of 0.88. While this score exceeds that of several Global North nations, such as South Korea, it still falls short compared to the scores of the US and the EU, indicating significant opportunities for improvement in this area.¹⁹

4.20 India's total exports (merchandise and services) have demonstrated consistent and significant growth in recent years, particularly following a robust recovery after the pandemic. Chart IV.5 shows that in FY25, the total exports amounted to USD 825.3 billion, registering a 6.1 per cent (YoY) growth, the highest levels of exports ever recorded. This performance is primarily attributed to the growth of services exports,

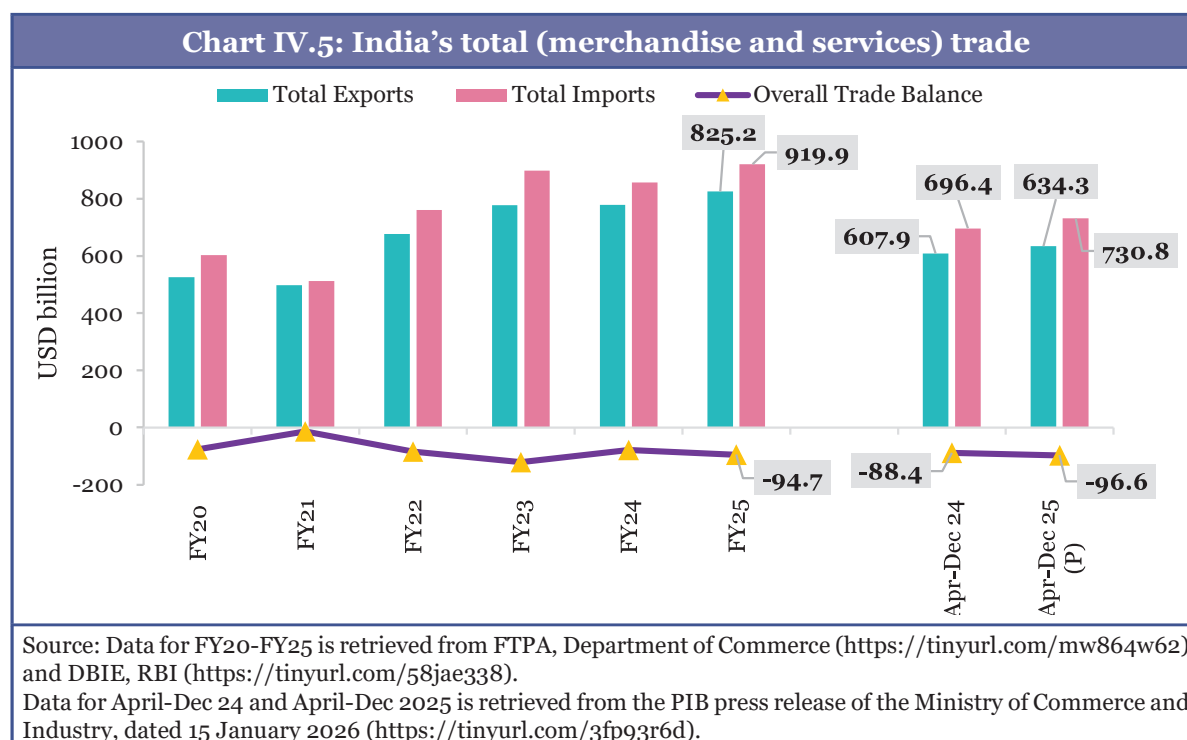
16 WTO's World Trade Statistics, <https://tinyurl.com/3sxabdnr>.

17 Composite diversity index of merchandise trade partnerships captures the heterogeneity of an economy's trading relationships. A higher index value indicates wider and more homogeneously distributed trade flows across partners, reflecting greater diversification.

18 The merchandise trade diversity indicator is calculated based on the Shannon entropy index, which measures the diversification of merchandise trade partnerships and products. The index was computed for the 63 largest economies in terms of aggregated exports and imports: 45 correspond to the global South, and 18 to the global North (the European Union is treated as a single economy). Economies with a wider range and homogeneously distributed export values across product categories have higher scores, indicating higher product-level trade diversity.

19 UNCTAD. (2025). Trade and Development Report, 2025, <https://tinyurl.com/mkkmkajhv>.

which experienced a 13.6 per cent (YoY) increase. At the same time, the country's total imports also increased by 7.4 per cent (YoY) and stood at USD 919.9 billion. The surplus in services trade cushioned the merchandise trade deficit, and consequently, in FY25, the total trade deficit amounted to USD 94.7 billion. This trade pattern reflects the impact of stronger import demand amid an expanding economy and resilient consumption.



4.21 This strong momentum has been carried forward into FY26 as both Q1 (Apr-June 2025), Q2 (July-Sept 2025) and Q3 (Oct-Dec 2025) recorded their highest-ever export levels for their respective quarters, despite ongoing global uncertainties. Furthermore, during April-December 2025, exports totalled USD 634.3 billion, a 4.3 per cent (YoY) increase, whereas imports increased by 4.9 per cent (YoY) to USD 730.8 billion. During the same period, the trade deficit increased to USD 96.6 billion compared to USD 88.4 billion in the corresponding period of the previous year.

Merchandise trade

4.22 The merchandise trade performance exhibits the economy's ability to hold ground amid a volatile global environment. It reaffirms its position as a reliable trading partner and an emerging force in global trade. Chart IV.6 depicts the trends in the country's merchandise trade in recent years. In FY25, India's merchandise exports totalled USD 437.7 billion, maintaining similar levels to those observed in FY24. While aggregate merchandise export growth may appear subdued, it is imperative to acknowledge

that non-petroleum, non-gems and jewellery exports, accounting for 78.7 per cent of aggregate merchandise exports, exhibited a robust growth rate of 7.5 per cent (YoY) during the same period. Further, the non-petroleum exports reached a historic high of USD 374.3 billion. This underscores the inherent strength of the export sector, which volatility in the exports of gems and jewellery and petroleum may obscure. Consequently, the perceived stagnation in total merchandise exports can largely be attributed to the disproportionate influence of petroleum and gems and jewellery, which often masks the more favourable trends present within the broader export sector.

4.23 In FY25, the export composition was predominantly concentrated in petroleum products, telecom instruments, drug formulations and biologicals. Collectively, these sectors account for approximately a quarter of the total exports. The exports of petroleum products declined by 24.7 per cent (YoY), amid softer crude oil prices, which decreased by 15.4 per cent (YoY).²⁰ Exports of telecom instruments witnessed a significant growth of 51.2 per cent (YoY) while those of drug formulations and biologicals experienced a growth of 11.2 per cent (YoY). These trends are a testament to the country's increasing strength in electronic manufacturing and reaffirm its position as a global pharmaceutical hub. Among the other principal commodities, steady gains were observed in exports of electric machinery and equipment, ready-made garments made from cotton, and motor vehicles/cars.

4.24 On the import side, merchandise imports increased by 6.3 per cent (YoY) in FY25, amounting to USD 721.2 billion. This increase was primarily driven by a rise in non-petroleum, non-gems and jewellery imports, which increased to USD 446.5 billion from USD 421 billion in FY24. This trend is attributed to a higher demand for critical intermediate inputs and capital goods, indicating a resilient domestic demand.

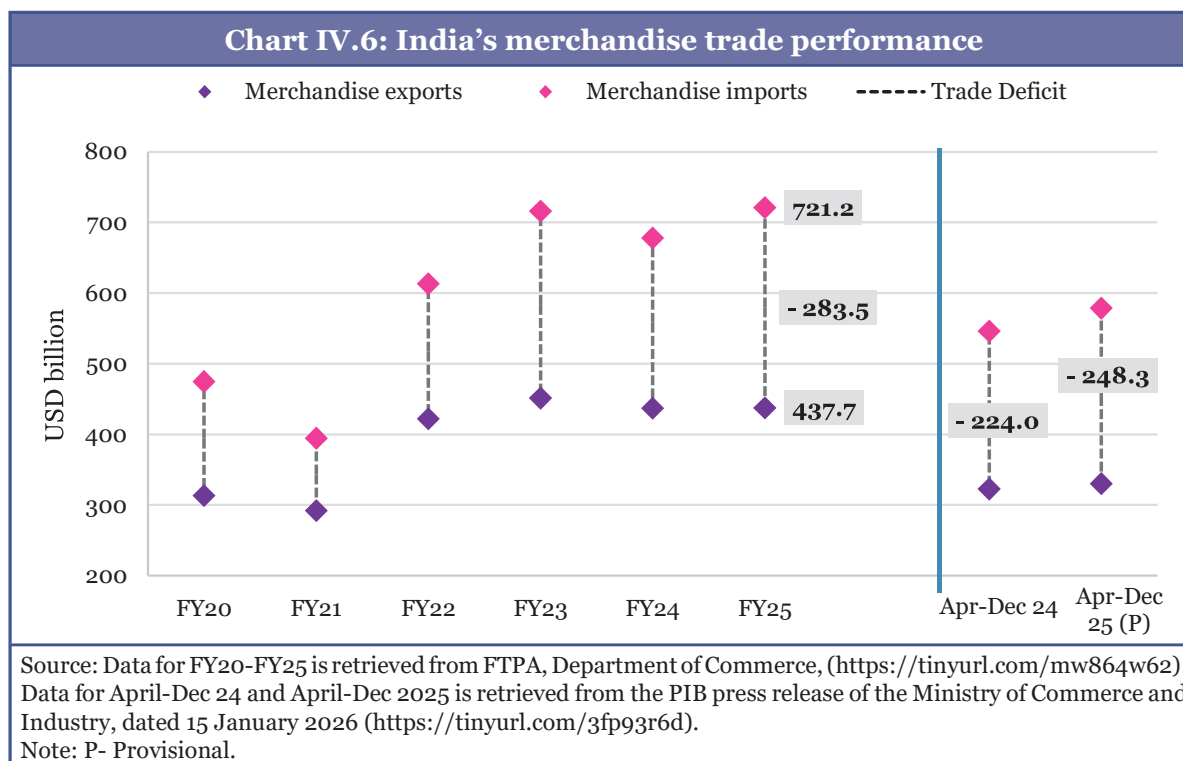
4.25 In FY25, India's import composition continues to be dominated by petroleum crude, gold and petroleum products, with these sectors accounting for over one-third of total imports. Imports of petroleum crude increased marginally by 2.7 per cent (YoY) amid softer crude oil prices, reflecting stable energy demand, while gold imports increased by 27.4 per cent (YoY). The increase in gold imports may be attributed to a rise in gold prices, increasing by 38.2 per cent (YoY) and driven by strong domestic consumption.²¹ Additionally, imports of electronic components, telecom instruments and computer hardware also experienced significant growth.

4.26 This trend suggests that as India's exports of finished products rise, there is a concomitant increase in the import of their intermediate products, implying a continuous

²⁰ World Bank. (n.d.). Commodity price data (The Pink Sheet), accessed on 4 November 2025, <https://tinyurl.com/ywzwfpc2>.

²¹ Ibid note 20.

improvement in the country's manufacturing abilities. A rise in merchandise imports in conjunction with stable merchandise exports resulted in a widening of the merchandise trade deficit, which reached USD 283.5 billion, marking a 17.6 per cent (YoY) increase in FY25.



4.27 The merchandise trade performance in FY26 so far reflects a continuation of the trends prevailing in FY25. During April-December 2025, merchandise exports have registered a growth of 2.4 per cent (YoY), while non-petroleum, non-gems and jewellery exports increased by 6.0 per cent (YoY), signalling sustained strength in India's core export basket. This increase in exports is driven by electronics goods, which grew by 35.1 per cent (YoY). The exports of mica, coal, and other ores and minerals, including processed minerals, grew by 14.7 per cent (YoY), whereas marine product exports grew by 15.5 per cent (YoY).

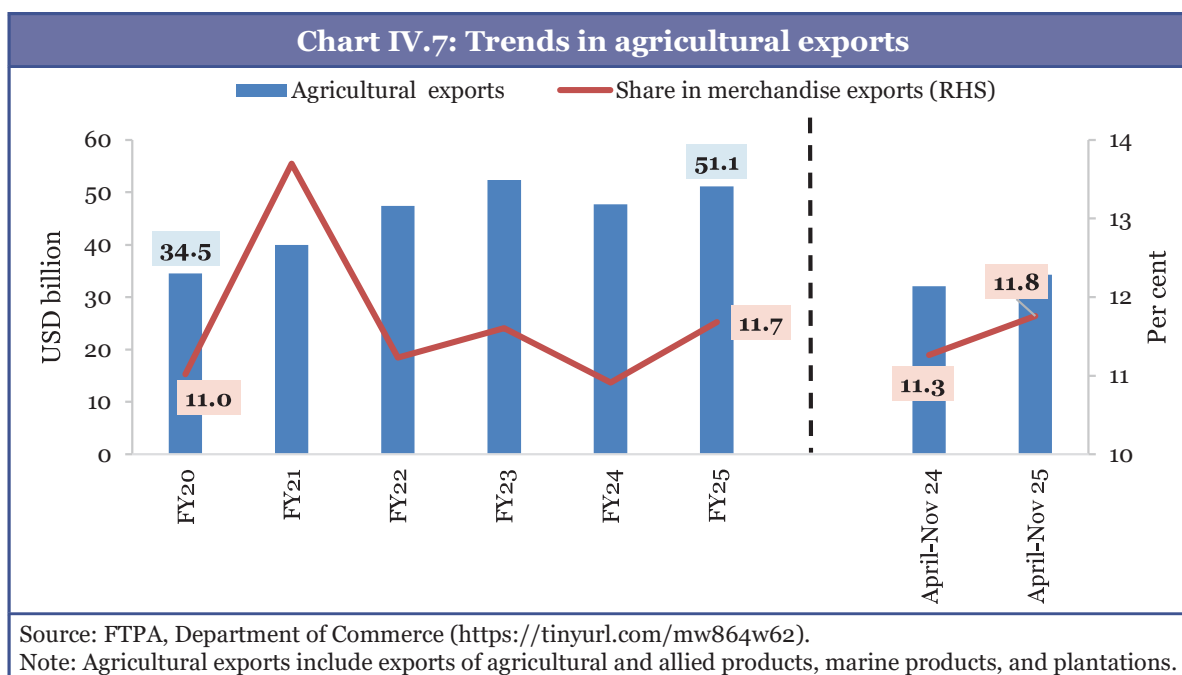
4.28 On the imports side, merchandise imports amounted to USD 578.6 billion, registering a 5.9 per cent (YoY) increase. Furthermore, non-petroleum and non-gems and jewellery imports witnessed a higher growth of 9.5 per cent (YoY) in the same period, reflecting resilient domestic demand for both consumption and production. This increase is attributed to an increase in imports of electronic goods (17.1 per cent YoY) and machinery, electrical and non-electrical (14.2 per cent YoY), which support the country's manufacturing and technology sectors. Furthermore, a substantial increase in imports of chemical material and products (44.4 per cent) suggests steady industrial demand in the economy. As a result, the merchandise trade deficit widened to USD

248.3 billion in April-December 2025 from USD 224.0 billion in the corresponding period of the previous year.

Performance of agricultural exports

4.29 During FY20-FY25, India's merchandise exports grew with a compounded average growth rate (CAGR) of 6.9 per cent. In comparison, agricultural exports increased from USD 34.5 billion in FY20 to USD 51.1 billion in FY25, registering a CAGR of 8.2 per cent. During the same period, the share of agricultural exports in the country's merchandise exports has varied between 11 per cent and 14 per cent. However, between FY23 and FY25, the country's agriculture exports have stagnated. Whereas, global export of agricultural products rose from USD 2.3 trillion in CY 2022 to USD 2.4 trillion in CY 2024.²²

4.30 India is the world's second-largest agricultural producer by value.²³ However, according to the WTO's World Trade Statistics, the country's share in global agricultural exports has increased only modestly from 1.1 per cent in 2000 to 2.2 per cent in 2024.²⁴ This disparity between production value and export performance highlights the significant untapped potential for expanding trade in agricultural products.



4.31 The country has the potential to reach USD 100 billion of combined exports of agriculture, marine products and food and beverage in the next four years.²⁵ Agricultural

²² WTO Stats, <https://tinyurl.com/47knvh6m>.

²³ FAOSTAT, <https://tinyurl.com/48dunxfn>.

²⁴ Table 13: Top 10 exporters and importers of agricultural products, WTO World Trade Statistics, 2024, <https://tinyurl.com/52cm3675>.

²⁵ PIB Press release of the Ministry of Commerce and Industry, dated 10 January 2025, <https://tinyurl.com/yc2x3pjj>.

exports are influenced by a range of supply-side factors, including food security, processing facilities, infrastructure bottlenecks, and various regulations. However, given the volatility in domestic prices and production of certain commodities, trade policy has often been employed to achieve short-term domestic objectives, such as managing inflation through product-specific interventions, including ad hoc export bans or the imposition of minimum export prices. Frequent policy changes can significantly disrupt export supply chains, create market uncertainty and cause foreign buyers to switch to other sources. Export markets once lost are not easily recovered.

4.32 Although these measures may temporarily stabilise domestic prices, they risk longer-term reputational costs, particularly as India is widely regarded as a source of high-quality agricultural products. Therefore, measures such as subsidised distribution of essential food items via the public distribution system, managing buffer stocks and intervening in the market via an open market sale scheme, using the Essential Commodities Act, 1955 to prevent hoarding and speculation, and deploying the price stabilisation fund to convert buffer stock for retail sale are the policy options available to ensure availability of agricultural products at fair prices for the domestic market. It is possible to stabilise domestic availability and prices while enabling farmers to tap global markets for better incomes.

4.33 By maintaining a delicate balance between fulfilling domestic demand and harnessing its export potential, India's remarkable achievements in agricultural production can translate into export-led growth, enabling the country to achieve its goal of USD 100 billion in agricultural exports. Exports also make farmers more productive and competitive by fostering knowledge accumulation and market feedback.

4.34 As an aspirational economy, India will see its imports rise steadily. That is the global experience over centuries. India must explore all opportunities to increase its export earnings to pay for the import needs of a growing economy. Agricultural exports are a low-hanging fruit with immense export potential. Importantly, they carry international leverage for India. Policies, therefore, must be aligned with this imperative.

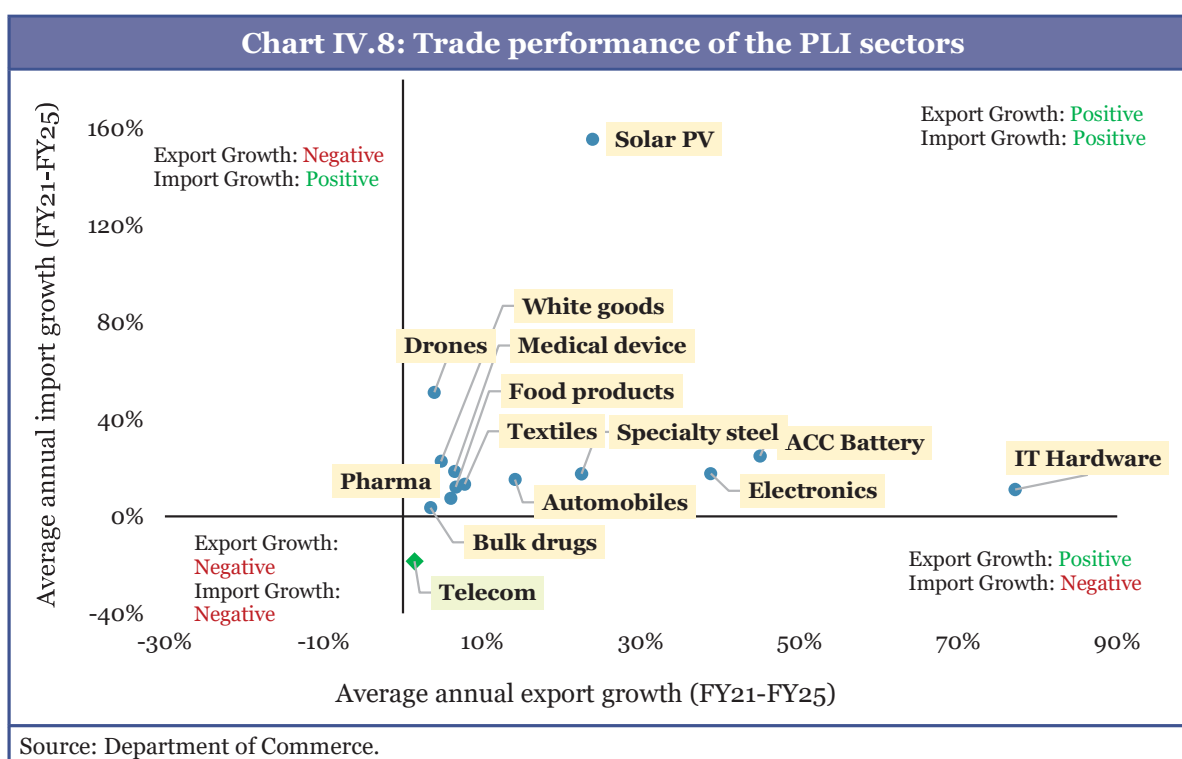
Trade Performance of Production-Linked Incentive Scheme Sectors

4.35 The PLI scheme was introduced in April 2020 to enhance domestic manufacturing and promote exports. Initially, it encompassed sectors such as mobile manufacturing, specific electronic components, active pharmaceutical ingredients, and medical devices. However, as the scheme evolved, it expanded to encompass a total of 14 sectors, reflecting a strategic approach to enhancing India's manufacturing capabilities.

4.36 A notable outcome of the PLI initiative has been the remarkable trade performance of these sectors. During the period FY21-FY25, the average annual growth rate (AAGR)

of exports from this sector stands at 10.6 per cent, while imports have experienced an AAGR of 12.6 per cent.

4.37 However, there exists a variation in the trade performance within these sectors. A few sectors recorded high export growth (with their AAGR exceeding 20 per cent, on average, during FY21-FY25). These include IT hardware (77.2 per cent), ACC batteries (45.0 per cent), electronics (38.8 per cent), solar PV (23.9 per cent), and speciality steel (22.5 per cent). This export expansion has generally been accompanied by an increase (AAGR) in imports that has been moderate in electronics (17.6 per cent), IT hardware (11 per cent) and speciality steel (17.5 per cent), but substantially higher in solar PV (155.4 per cent) and ACC batteries (24.9 per cent). These trends indicate a scaling up of production capacity and the integration of value chains, suggesting that domestic manufacturing is not only maturing but is also beginning to leverage imported intermediate goods to facilitate higher-value exports.

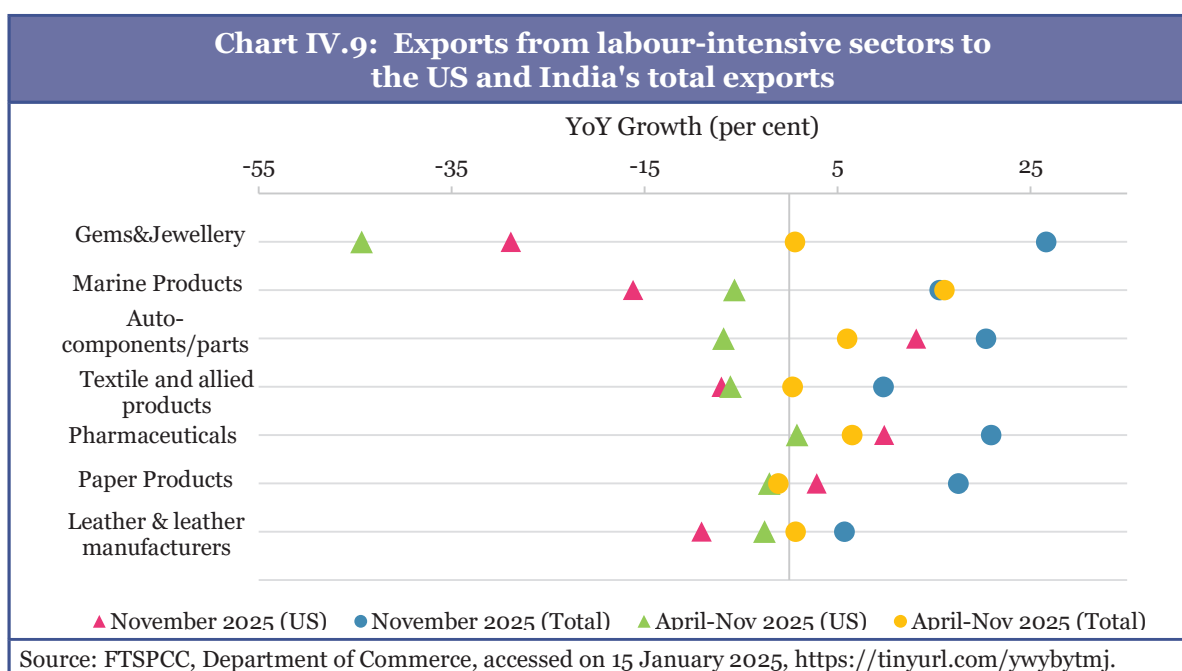


4.38 In contrast, certain sectors demonstrated moderate export growth (with their AAGR below 20 per cent), which include automobiles (14.1 per cent), textiles (7.8 per cent), food products (6.7 per cent), pharma (6.0 per cent), medical devices (6.5 per cent), white goods (4.8 per cent), bulk drugs/ Active Pharmaceutical Ingredients (APIs) (3.5 per cent), and drones (3.9 per cent). Most of these sectors have also experienced positive import growth (AAGR), for instance, automobiles (15.1 per cent), textiles (13.2 per cent), food products (12.1 per cent), and pharma (7.4 per cent), suggesting a steady expansion of domestic activity alongside continued reliance on imported inputs and technology.

4.39 In particular, the telecom sector has achieved notable success, with exports rising by 1.5 per cent (AAGR) while imports have concurrently declined by 18.5 per cent (AAGR). This trend indicates an early accomplishment in import substitution, aligning with the PLI framework's overarching objective of enhancing market penetration abroad. Collectively, these developments illustrate the success of the PLI scheme in boosting the country's export growth.

Diversification of India's export destinations and import sources

4.40 India is currently subject to an effective export tariff rate of 50 per cent on goods exported to the US, and this rate is among the highest imposed on any country.²⁶ There has been progress in the negotiations of the trade deal between the two countries.²⁷ While there has been some specific impact of the tariffs, Chart IV.9 illustrates the resilience of India's overall exports in some labour-intensive and small-scale sectors, primarily attributed to diversification towards alternative destinations. This is evident in the chart, which shows a YoY decline in exports to the US during the period April–November 2025 (indicated by the green triangle). In contrast, India's exports to the world have shown positive growth (YoY) (indicated by the yellow dots). These trends of diversification are presented in Table IV.1.



²⁶ US President's Executive Order: Further modifying the reciprocal tariff rates dated July 31, 2025 (<https://tinyurl.com/29aphjt9>) and US President's Executive Order: Addressing threats to the United States by the government of the Russian Federation dated August 06, 2025 (<https://tinyurl.com/ykzcr8tw>).

²⁷ Currently, six rounds of negotiations have already been held between India and the US. Both nations have expressed a commitment to continue their dialogue with the aim of reaching an early conclusion of a mutually beneficial trade deal. Further, the recent US decision to exempt over 200 agricultural and food products from elevated tariffs marks a constructive shift in India–US trade dynamics. The move restores price competitiveness for key Indian exports, including spices, tea, coffee, nuts, and processed foods, helping offset earlier tariff pressures that had constrained market access. Source: As per information from Department of Commerce and PIB Press release of the Ministry of Commerce and Industry dated 26 September, 2025: <https://tinyurl.com/5dhy99ez>.

Table IV.1. Alternative destinations for India's exports

Sector	India's exports to the US and the World during April-November FY26 over April-November FY25	Alternative destinations for India's exports
	(All figures in parentheses represent YoY growth rates of exports for April-November FY26 compared to April-November FY25.)	
Gems and jewellery²⁸ 	• US (-44.3) • World (0.6) (The US's share in India's total exports of gems and jewellery decreased to 18.7 per cent from 33.7 per cent during the same period.)	• For gems and jewellery: UAE (34.9) and Hong Kong (23.4) (The share of UAE and Hong Kong in India's total exports of gems and jewellery increased to 53.6 per cent from 41.4 per cent during the period.) • For gold and precious metal jewellery: Bahrain (125.5) and Saudi Arabia (107.9), and France (44.4) and the UK (27.9). • For pearls, precious and semi-precious stones: Canada (179.5) and Mexico (7510.5), and China (166.1) (Exports from this sector are continuing to benefit from the India-UAE CEPA, and it is anticipated that exports to the UK will increase significantly in the coming years due to the recently signed India-UK FTA. This development is likely to have a positive influence on other markets, both existing and potential.)^{29,30}
Marine products 	• US (-5.7) • World (16.1)	• Asian countries: Vietnam (99.8), Malaysia (59.2), China (20.4). • Other countries: Belgium (90.4), Russia (45.6), Denmark (4830.2), Germany (51.9), Poland (252.7) and Sri Lanka (220.1).

²⁸ Gems and Jewellery include pearls, precious and semi-precious stones and gold and other precious metal jewellery, excluding exports of gold, silver and other precious and base metals.

²⁹ The Gem & Jewellery Export Promotion Council. (2025). Gem & jewellery trade trends quarterly (Q2) FY2025-2026 (Jul '25 - Sep '25), <https://tinyurl.com/56eeyc2f>.

³⁰ Patra, M. D. (2025, November 15). One door closes; another opens. Basis Point Insight, <https://tinyurl.com/y32f6ebk>.

Auto components/ parts 	• US (-6.8) • World (6.0)	• UAE (84.5), Germany (33.5), Belgium (77.7), Slovenia (96.9), Myanmar (189.9), Brazil (24.7), Nepal (49.4) and Bangladesh (20.4). (UAE's share in India's exports of auto components has increased to 5.3 per cent from 3 per cent during the period.)
Textiles and allied products exports³¹ 	• US (-6.1) • World (0.3)	• For cotton fabrics, made-ups, etc: Nigeria (72), Senegal (29.7), Sudan (1114.4), Colombia (46.7), Sweden (47.2), Uganda (221.5) and UAE (9.5). • For manmade yarn, fabrics and made-ups: UAE (14.3), Germany (26.3), Netherlands (34.1), Spain (25.1), Italy (20.1) and Senegal (161.9). • For ready-made garments of cotton, including accessories: UAE (22.1), Poland (24.9), Spain (15.3), Japan (28), France (14.1) and Hong Kong (68.7). • For silk carpets: UAE (103.1) (The US's share in India's exports of silk carpets declined significantly from 42.4 per cent to 21.5 per cent over the period; conversely, the UAE's share increased from 37.6 per cent to 58.7 per cent during the same period.)

³¹ Textiles and allied products include raw wool, raw jute, raw cotton including waste, raw silk, silk waste, coir and coir manufactures, natural silk yarn, fabrics and made-ups, silk carpets, woollen yarn fabrics and made-ups, cotton yarn, jute yarn, readymade garments of silk, other jute manufactures, jute hessian, floor coverings made of jute, handloom products, readymade garments of wool, manmade staple fibre, other textile yarn and fabrics, readymade garments of manmade fibres, manmade yarn, fabrics and made-ups, handmade carpets (excluding silk), readymade garments of other textile materials, cotton fabrics and made ups and readymade garments of cotton including accessories.

Pharmaceutical products³² 	• US (0.8) • World (6.5) (Although India primarily exports generic drugs to the US, there was a decrease in pharmaceutical exports to the US by -23.7 per cent YoY in October 2025. This decline in exports in October 2025 can be attributed to uncertainty regarding tariffs on generic drugs, which led Indian exporters to pre-emptively reduce their reliance on the US market. However, the trend reversed in November 2025, with pharmaceuticals exports to the US increasing by 9.8 per cent YoY.)	• For AYUSH and herbal products: Vietnam (88.8) and Nigeria (89.4), Italy (7.6), Russia (16.6) • For bulk drugs and drug intermediaries: Netherlands (22.2), Brazil (15.5) and France (20.7). • For drug formulations and biologicals: Nigeria (58.0), Mexico (53.12) and the Republic of Tanzania (50.6). • For surgicals: Sri Lanka (114.9), Spain (28.6), Nigeria (154.6) and Saudi Arabia (70.2). • For surgicals: Sri Lanka (114.9), Spain (28.6), Nigeria (154.6) and Saudi Arabia (70.2).
Paper products³³ 	• US (-2.1) • World (-1.2) (The diversification to other countries has not been sufficient to offset the overall drop in exports to the U.S, as it accounts for a significant share of India's exports of paper products.)	• For books, publications and printing: Kenya (280.7), Republic of Tanzania (111.2), Malawi (450.0), Ethiopia (340.5) • For paper, paperboard and products: Bangladesh (19.5), Russia (59.8) and Oman (43.5). • For plywood and allied products: Vietnam (147.8), Poland (75.0), Spain (19) and the UK (9.2).
Leather Products³⁴ 	• US (-2.6) • World (0.6)	• For leather footwear: Austria (88.8), the Netherlands (20.8), the UAE (31.4) and Germany (4.5). • For leather garments: France (40.7), UK (28.5), Colombia (100), Austria (114.9) and Russia (36.9). • For leather goods: Spain (16.8), the Netherlands (12.7), Chile (51.8), Belgium (26.1) and Norway (117.5).

³² Pharmaceutical products include AYUSH and herbal products, surgicals, bulk drugs, drug intermediaries, drug formulations and biologicals.

³³ Paper products include paper, paperboard and products, pulp and waste paper, other wood products, plywood and allied products, newsprint and books, publications and printing.

³⁴ Leather products include finished leather, leather goods, leather garments, leather footwear, leather footwear components, and saddlery and harness.

4.41 A notable increase in the diversity of countries from which India imports crude oil has been observed. In FY26 (April-November), crude oil imports from Libya, Egypt, Brazil, the US and Brunei increased significantly compared to the same period in FY25, while those from Russia, Saudi Arabia, Iraq and Venezuela declined.

4.42 Although imports from other countries account for a significant portion of India's crude oil imports, the shares of the US, Egypt, UAE, Nigeria and Libya have increased. Between April-November 2025, the share of imports from the US increased to 8.1 per cent from 4.6 per cent in the same period in FY25, while UAE's share increased to 11.1 per cent from 9.4 per cent, Egypt's share increased to 1.4 per cent from 0.3 per cent, Nigeria's share increased to 3.3 per cent from 2.2 per cent and Libya's share increased to 0.5 per cent from 0.1 per cent.

4.43 The foregoing section discusses the country's resilient and robust merchandise trade performance. Nevertheless, these outcomes also point to a larger opportunity: sustaining export momentum will require diversification towards higher-value, more sophisticated products and new destinations.

4.44 While the export performance of the PLI sectors indicates an improvement in the country's domestic manufacturing capabilities, a broader assessment of India's export basket's composition and diversification reveals further potential for improvement. In 2023, India ranks 44th out of 145 countries on the Economic Complexity Index (ECI)^{35,36} as measured by the Harvard Atlas of Economic Complexity.^{37,38} Although this represents an improvement from India's 57th position in CY 2013, its ranking has remained unchanged since CY 2019. This can be attributed to India's export composition, which remains concentrated on goods such as refined petroleum, diamonds, jewellery, packaged medicines, and rice, and much of the country's export

35 Economic complexity is a measure of the knowledge in a society as expressed in the products it makes. The economic complexity of a country is calculated based on the diversity of exports a country produces and their ubiquity, or the number of countries able to produce them (and those countries' economic complexity). Countries that are able to sustain a diverse range of productive know-how, including sophisticated, unique know-how, are found to be able to produce a wide diversity of goods, including complex products that few other countries can make.

36 Ranking of the Export Complexity Index - A rank of countries based on how diversified and complex their export basket is. Countries that are home to a great diversity of productive know-how, particularly complex, specialised know-how, are able to produce a great diversity of sophisticated products. The complexity of a country's exports is found to highly predict current income levels, or where complexity exceeds expectations for a country's income level, the country is predicted to experience more rapid growth in the future. ECI therefore provides a useful measure of economic development.

37 Hausmann, R., Hidalgo, C. A., et al. (2011). The atlas of economic complexity: Mapping paths to prosperity, <https://tinyurl.com/mrrtu2a>.

38 Harvard Growth Lab - Country & Product Complexity Rankings, <https://tinyurl.com/yzkaefh6>.

growth comes from products that fall into low- and mid-complexity categories.^{39, 40} The dominance of mid-tech and low-complexity goods underscores the imperative for India to pursue a significant structural shift towards high-complexity categories, including advanced machinery, precision engineering goods, electronics, chemicals, and high-value services.⁴¹

4.45 The country's underutilised productive capabilities are revealed through the gap between its relatively modest ECI ranking and its second rank globally on the Economic Complexity Outlook Index (COI),⁴² which evaluates future potential to diversify into more sophisticated products based on existing capabilities.⁴³ Many high-complexity products are within India's current ability limits, implying that targeted industrial policies, technological improvements, and export-driven ecosystem development could yield significant benefits. Realising this potential, however, requires a strong and competitive domestic manufacturing ecosystem. To fulfil the potential indicated by the country's COI ranking, the domestic manufacturing ecosystem needs to be further scaled up, product quality to be consistently maintained at scale, and a robust innovation, research and development ecosystem established.

4.46 In this direction, the government has introduced initiatives such as the Anusandhan National Research Foundation (ANRF) and the Research, Development & Innovation Fund (RDIF), complemented by initiatives such as Make in India and the PLI schemes. Collectively, these initiatives aim to strengthen India's research ecosystem, expand its innovation capacity, and enhance its technological depth, as discussed in Chapter 8 of this Survey.

4.47 Beyond strengthening R&D and innovation, realising India's manufacturing and GVC potential also requires streamlining cross-border operating rules that materially

39 Bhowmick, S. (2020, September 15). Towards a more 'sophisticated' Indian economy. ORF Expert Speak, <https://tinyurl.com/bdu3u72n>.

40 Country profile: India (The atlas of economic complexity), <https://tinyurl.com/3b72z7cd>.

41 The Product Complexity Index (PCI) ranks the diversity and sophistication of the productive know-how required to produce a product. PCI is calculated based on how many other countries can produce the product and the economic complexity of those countries. In effect, PCI captures the amount and sophistication of know-how required to produce a product. Economic complexity is a measure of the knowledge in a society, as expressed in the products it produces. The most complex products (that only a few countries with a high economic complexity can produce) include sophisticated machinery, electronics and chemicals, as compared to the least complex products (that nearly all countries, including the ones with low economic complexity can produce), including raw materials and simple agricultural products. Specialised machinery is said to be complex as it requires a range of know-how in manufacturing, including the coordination of a range of highly skilled individuals' know-how.

42 The Economic Complexity Outlook Index (COI) is a measure of how many complex products are near a country's current set of productive capabilities. The COI captures the ease of diversification for a country, where a high COI reflects an abundance of nearby complex products that rely on similar capabilities or know-how as that present in current production. Complexity outlook captures the connectedness of an economy's existing capabilities to drive easy (or hard) diversification into related complex production, using the Product Space.

A low complexity outlook reflects that a country has few products that are a short distance away, so will find it difficult to acquire new know-how and increase their economic complexity.

43 Ibid note 38.

affect transaction costs and investor certainty. India's manufacturing-led growth strategy and deeper participation in GVC underscore the need for closer coordination between transfer pricing (under income-tax law) and customs valuation (under customs law) in respect of related-party imports. While transfer pricing provisions are designed to prevent over-pricing of imports and customs valuation rules address under-invoicing, both frameworks are anchored in the arm's length principle. They are aligned with internationally accepted standards, including those of the Organisation for Economic Co-operation and Development and the World Customs Organisation.

4.48 Currently, identical import transactions are often examined separately by income tax and customs authorities, resulting in duplication of compliance, higher transaction costs, and the risk of inconsistent outcomes for the industry. Given the conceptual similarities in valuation methods under the two regimes, there is a clear opportunity to move towards a collaborative convergence approach.

4.49 A structured framework enabling aligned methodologies, converged documentation by taxpayers, and coordinated administrative review can ensure greater certainty and predictability of tax outcomes for businesses while safeguarding revenue interests. Such convergence would reduce compliance burden, minimise disputes, enhance transparency in cross-border trade, and improve ease of doing business, thereby strengthening India's attractiveness as a global manufacturing and investment destination.

4.50 The global economic landscape is becoming increasingly unpredictable, driven by tariff increases, supply chain adjustments, and higher regulatory hurdles. For Indian industries, the current wave of U.S. tariff implementations and stricter non-tariff barriers presents a significant challenge, particularly for export-oriented sectors. The experience of India's pharmaceutical industry during the shift to the WTO's Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS) is one of the most important moments of structural adjustment undertaken by an Indian industry in the post-reform era. Box IV.1 presents a case study of the pharmaceutical sector as an example of how the industry can reinvent itself in the face of global challenges and progress. The lessons are particularly relevant in the present times of increasing trade uncertainties and protectionist trends.

Box IV.1: Pharmaceutical sector's transformation in the aftermath of TRIPS Agreement: Lessons for India Inc.

The pharmaceutical sector, which had expanded under the process-patent regime of the 1970 Patent Act, faced a sudden change in its operating environment when the TRIPS-compliant product-patent regime took effect in CY 1995. This shift challenged the very foundation of India's competitive advantage, reverse engineering, and cost-efficient process innovation.⁴⁴

44 Chaudhuri, S. (2005). The WTO and India's pharmaceuticals industry: Patent Protection, TRIPS, and Developing Countries. Oxford University Press, USA, <https://tinyurl.com/4fs2p2d5>.

However, the manner in which the sector responded offers a compelling template for industries currently confronting rising external trade barriers, especially tariff escalations in major markets. The episode underscores how an external shock can catalyse capability creation, market repositioning, and long-term global competitiveness when firms undertake strategic upgrading.

Nature of the TRIPS shock

The process-patent regime enabled Indian firms to legally replicate patented drugs by developing alternative production pathways, thereby creating one of the most affordable pharmaceutical ecosystems in the world. TRIPS, however, mandated a 20-year product-patent regime,⁴⁵ eliminating this legal flexibility. This could be characterised as a “deep institutional disruption.” Firms faced a loss of freedom to reverse-engineer patented molecules, escalating costs due to regulatory, documentation, and clinical requirements, along with higher entry barriers that favoured IP-rich multinational firms.

This shift sparked fears of sectoral contraction. However, rather than shrinking, the sector leveraged the disruption to develop deeper capabilities, expand into new markets, and strengthen its integration with GVCs.

Industry Response

Rewiring Internal Capabilities: The earliest and most important response to the TRIPS shock was a clear shift toward developing internal capabilities. Indian pharmaceutical companies moved beyond simple process improvements. They began investing heavily in formulation science, transitioning R&D from reverse-engineering existing drugs to creating New Chemical Entities, cost-efficient Novel Drug Delivery Systems, and complex generics that meet global regulatory standards.⁴⁶ Industry-wide R&D spending grew from ₹ 1250 million in FY94 to nearly ₹209.8 billion by FY19.^{47,48,49}

This expanded scientific and technological foundation fostered innovation-led competitiveness. By strengthening internal capabilities early on, Indian firms positioned

45 Agreement on Trade-Related Aspects of Intellectual Property Rights. In agreement on trade-related aspects of intellectual property rights (pp. 319–322): Article 27 of the TRIPS agreement mandated patents to be granted for any invention, including product & process, in all fields of technology, that involved an inventive step and was capable of industrial use. This protection was to be granted for a minimum of 20 years as per Article 33 of the same agreement: <https://tinyurl.com/4bv2c7ac>. Owing to these provisions, which India signed up for following its entry into the WTO and consequently the TRIPS agreement, Article 5 of the Patents Act, 1970, which allowed patents for the process of manufacture, was amended in 2005 to permit only product patents. This curtailed the pharmaceutical industry from producing generic medicines for patented drugs, without giving them royalties: <https://tinyurl.com/34w6fn2m>.

46 Rai, R. K. (2008). Battling with TRIPS: Emerging Firm Strategies of Indian Pharmaceutical Industry Post-TRIPS. In *Journal of Intellectual Property Rights*: Vol. Vol 13 (pp. 301-317), <https://tinyurl.com/mrm6xvhn>.

47 Kiran, R., & Mishra, S. (2011). Research and Development, Exports and Patenting in the Indian Pharmaceutical Industry: a Post TRIPS Analysis. In *Thapar University & MM University, Eurasian Journal of Business and Economics* (Vol. 4, Issue 7, pp. 53–67) [Journal-article], <https://tinyurl.com/3r3jbfhx>.

48 Jain, S. & Indian Pharmaceutical Alliance. (2023). Thrust on Innovation & R&D fundamental for Indian Pharma's Growth, <https://tinyurl.com/2r8zeade>.

49 In 2018-19, the overall expenditure on pharma R&D in India was approximately USD 3 billion. Based on INR's financial year's annual average exchange rate of 69.923, it translates to ₹209.8 billion.

themselves to enter and grow in regulated export markets. This is a strategic lesson for modern sectors now facing tariff-driven external shocks: competitiveness must be developed before it is demanded.

Market Diversification as a Structural Hedge: A second primary strategic response was rapid market diversification. As TRIPS-era constraints narrowed domestic opportunities, Indian pharmaceutical firms pivoted outward, targeting regulated markets such as the US and Europe by filing large-scale Drug Master Files (DMFs)⁵⁰ for APIs and Abbreviated New Drug Applications⁵¹ for generics. India's global share of DMF filings rose sharply from 14.5 per cent in CY 2000 to 48.7 per cent by CY 2007, with 331 active DMF filings by India in 2019.⁵² These filings helped the pharmaceutical industry penetrate these markets despite the restrictions of the TRIPS agreement. This demonstrated a core structural insight: over-reliance on a single market magnifies vulnerability, while multi-market exposure insulates firms from tariff shocks.

Collaborative and Risk-Sharing Innovation Models: Indian companies adopted innovation models suited to a patent-heavy environment. Out-licensing, which enabled firms to develop molecules during early stages and then partner with multinationals, generated milestone-based revenue while lowering R&D risk. In parallel, India's emergence as a global hub for Contract Research and Manufacturing Services (CRAMS) is attributed to the country's strong scientific talent and production costs that are 30-40 per cent lower than those of other nations. As a result, India entered the global CRAMS market, valued at USD 532.10 million in CY 2005, and is expected to grow to USD 90.4 billion by CY 2030.⁵³⁻⁵⁴ These collaborative models embedded Indian firms deeper within global pharmaceutical value chains.

Strategic M&A for Global Integration: Recognising the need for distribution access and regulatory footholds, Indian firms undertook targeted acquisitions abroad. These moves enabled a local presence in developed markets, improved compliance, and accelerated the adoption of technology. M&A became a channel to bypass tariff or regulatory frictions and integrate vertically into global markets.

From Disruption to Leadership: By the early 2010s, India had become the world's largest supplier of affordable generics, responsible for nearly 20 per cent of global supply.⁵⁵

50 Research, C. F. D. E. A. (2017, November 16). Drug Master Files: Guidelines. U.S. Food and Drug Administration: A Drug Master File is a submission of detailed information of facilities, processes or articles used in manufacturing, processing, packaging and storing of one or more human drugs. This is confidential information usually produced on request of the holder or authority. During the TRIPS crisis, the Indian Pharmaceutical Industry submitted these filings as supportive documents for New Drug Application or Abbreviated New Drug Application to the Food & Drug Administration (FDA) for approval of their pharmaceutical drugs, <https://tinyurl.com/yup7u3fs>.

51 Research, C. F. D. E. A. (2025, October 3). Abbreviated New Drug Application (ANDA). U.S. Food and Drug Administration: An abbreviated new drug application (ANDA) contains data submitted to the FDA for review and potential approval of a generic drug product, <https://tinyurl.com/hetvt89m>.

52 Ibid note 47.

53 Rai, R. K. (2008). Battling with TRIPS: Emerging Firm Strategies of Indian Pharmaceutical Industry Post-TRIPS. In *Journal of Intellectual Property Rights*: Vol. Vol 13 (pp. 301-317), <https://tinyurl.com/mrm6xvhn>.

54 Department of Pharmaceuticals, Ministry of Chemicals & Fertilisers, & Biovantis Healthcare Private Limited. (2023). Study on CRO Sector in India, <https://tinyurl.com/3j3rc3c8>.

55 Waning, B., Diedrichsen, E., & Moon, S. (2010). A lifeline to treatment: the role of Indian generic manufacturers in supplying antiretroviral medicines to developing countries. *Journal of the International AIDS Society*, 13, 35, <https://doi.org/10.1186/1758-2652-13-35>.

Export markets diversified, regulatory credibility deepened, and the innovation pipeline expanded. What began as an existential threat evolved into a catalyst for global leadership. This strategic realignment translated into a substantial expansion of India's pharmaceutical exports. Between FY01 and FY25, pharmaceutical exports increased from USD 1.9 billion to USD 30.5 billion in FY25, representing a nearly 16-fold rise driven by market diversification, regulatory alignment, and enhancements in capability.^{56,57}

Lessons for India Inc. in today's tariff environment: Regulatory capacity, diversified markets, and upgraded capabilities transformed a vulnerable sector into a global powerhouse. Rather than being diminished by TRIPS, the sector repositioned itself at the higher end of the pharmaceutical value chain. This sector's rebound from the TRIPS crisis is a clear demonstration of how external shocks can be turned into opportunities through strategic action. In the current situation of an unpredictable global tariff regime, India Inc. can draw inspiration from the pharmaceutical sector to capitalise on this situation to its advantage. India Inc. must focus on capability building through strong R&D, Market diversification to reduce dependence on a single market and build resilience, and partnership-driven models such as co-development, licensing, and contract manufacturing to help reduce risk. Additionally, strategic consolidation is necessary to expand in capital- and compliance-heavy environments.

4.51 To sustain the momentum in India's trade performance amidst global uncertainty, the country is actively pursuing a diversified trade strategy. This includes the recently concluded India-UK Comprehensive Economic and Trade Agreement (CETA) and the India-Oman Comprehensive Economic and Partnership Agreement (CEPA), as well as engagements in free-trade agreement (FTA) negotiations with the US, Chile, and Peru. The negotiations of an FTA with New Zealand were concluded in December 2025.⁵⁸ Furthermore, the India-Oman CEPA, signed on 18 December 2025, provides the country with market access for goods and services in the Middle East and Africa. The agreement facilitates duty-free access for 99.38 per cent of India's exports, with the immediate elimination of tariffs on 97.96 per cent of tariff lines. This includes comprehensive tariff elimination for all major labour-intensive sectors in India. Additionally, India has offered tariff liberalisation on 94.81 per cent of its imports from Oman. The service sector is also poised to benefit significantly, as the agreement establishes an enhanced mobility framework for Indian professionals. Oman has made substantial commitments across a wide range of sectors, including computer-related services, business and professional services, audio-visual services, research and development, education, and health services.⁵⁹

56 Kallummal, M., & Bugalya, K. (2012, August). Trends in India's trade in pharmaceutical sector: Some insights (CWS/WP/200/2). Centre for WTO Studies, Indian Institute of Foreign Trade, <https://tinyurl.com/kpvyr6mu>.

57 PIB Press release of the Ministry of Commerce and Industry dated 17 December 2025: <https://tinyurl.com/5c7kek2h> and PIB Press release of the Department of Chemicals and Petrochemicals dated 28 December 2001: <https://tinyurl.com/ywpwh7pj>. In 2000-01, pharmaceutical exports were valued at ₹872989 lakhs. Based on INR's financial year annual average exchange rate of 45.684, it translates to USD 1.9 billion.

58 PIB Press release of the Ministry of Commerce dated 22 December 2025, <https://tinyurl.com/2bpnr sdm>.

59 PIB Press release dated 18 December 2025, <https://tinyurl.com/3kjp7e5r>.

4.52 An expanding network of FTAs supports India's trade strategy by offering reliable market access amid global uncertainty. These agreements enable export-focused firms to boost production and become more integrated into GVC. Furthermore, by exposing firms to international competition, FTAs improve export competitiveness, encouraging firms to prioritise productivity and reliability over reliance on access-based benefits. In this context, enhancements in export competitiveness increasingly depend on state-level implementation, as states play a vital role in providing the infrastructure, regulatory certainty, and administrative coordination that export-focused firms need.

4.53 To enable the exporters to leverage the benefits of FTAs and preferential trade agreements, the tariff explorer service on the Trade Connect ePlatform provides information on tariff concessions available to eligible exports from the country. Furthermore, the Export Promotion Mission (EPM) establishes a comprehensive, flexible, and digitally driven framework for enhancing export initiatives. This approach signifies a strategic transition from numerous fragmented schemes to a unified, outcome-oriented mechanism capable of promptly responding to global trade challenges and the evolving needs of exporters.⁶⁰ The government has also implemented the Credit Guarantee Scheme for Exporters to provide additional financial assistance to Indian exporters during periods of uncertainty, thereby ensuring liquidity, promoting business continuity, and creating opportunities to expand into new markets.⁶¹

4.54 The EPM's effectiveness is further reinforced by complementary steps announced by the Reserve Bank of India that aim at mitigating debt-servicing stress and promoting the continuity of viable export-oriented businesses. These include a moratorium/deferment on payments of all instalments (principal and/or interest) for eligible borrowers to be extended by the regulated entities (RE), an extension of tenor for export credit by an eligible RE for a period of up to 450 days for pre-shipment and post-shipment export credit disbursed till 31 March 2026. To maintain liquidity, REs may recalculate their drawing power by reducing margins or reassessing working capital limits. Under the Foreign Exchange Management (Export of Goods and Services) (Second Amendment) Regulations, 2025, the period for realisation and repatriation of export proceeds has been extended from nine months to 15 months, and the shipment period against advance payments has been increased from one year to three years.⁶²

4.55 Together, these regulatory and fiscal measures provide an integrated framework of support to exporters, maintaining liquidity, protecting credit discipline and aligning with the EPM's goal of an enhanced export ecosystem.

60 PIB press release of the Ministry of Commerce and Industry, dated 12 November 2025, <https://tinyurl.com/6s89xv6p>.

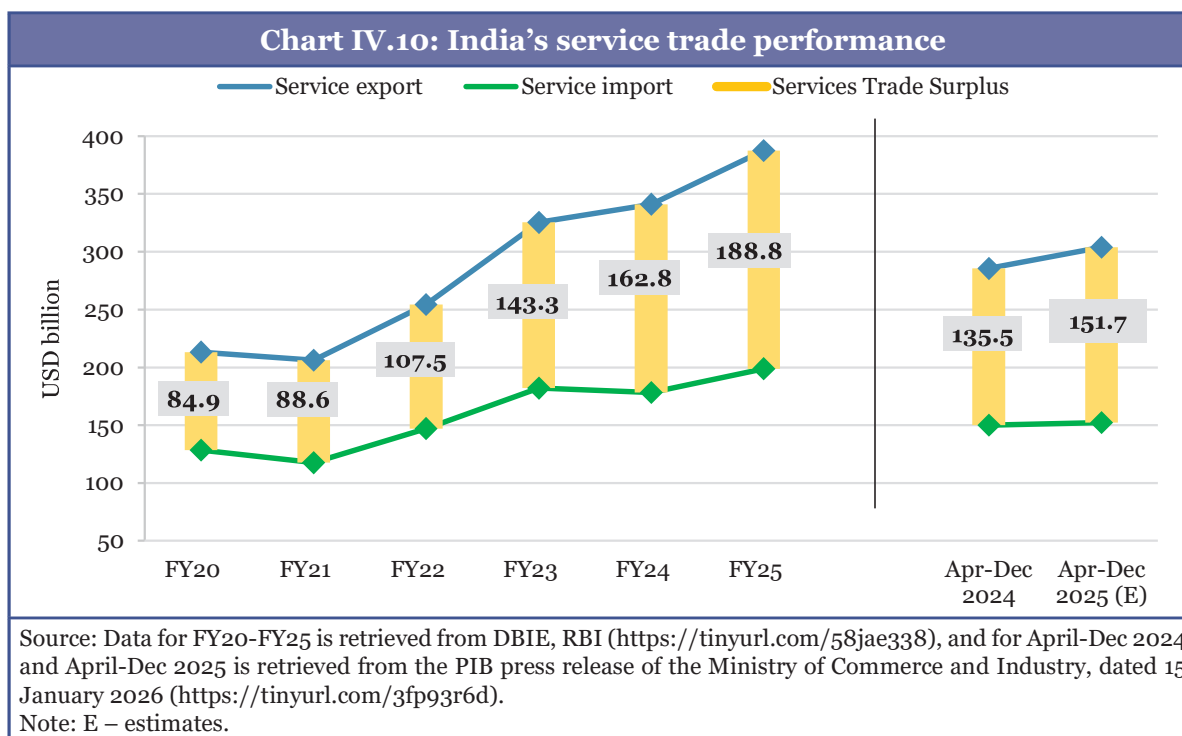
61 PIB press release of the Ministry of Finance, dated 01 January 2025, <https://tinyurl.com/4dave8bd>.

62 Reserve Bank of India (Trade Relief Measures) Directions, 2025, dated 14 November 2025, <https://tinyurl.com/2rx5cb7b>.

Services trade

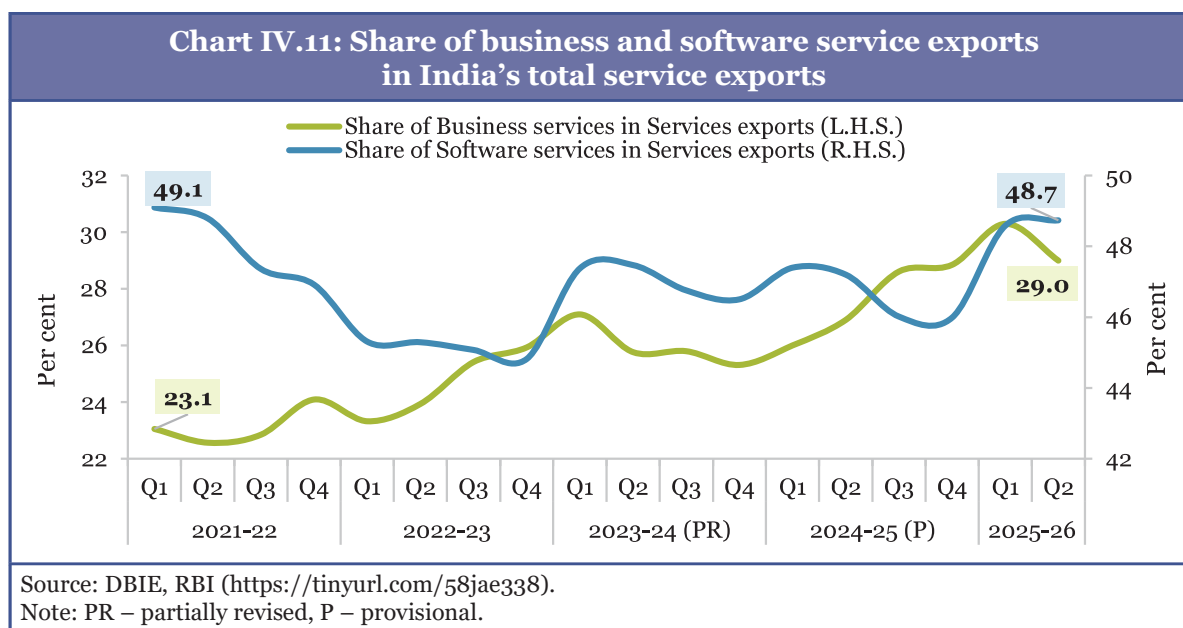
4.56 India's services trade plays a crucial role in enhancing the country's overall trade performance. This sector has shown resilience amid global economic volatility, as evidenced by its consistent growth in exports.

4.57 In FY25, services exports reached an all-time high of USD 387.5 billion, registering a robust 13.6 per cent (YoY) growth and reinforcing India's position as a global hub for technology, business, and professional services. At the same time, services imports registered a growth of 11.4 per cent (YoY) and amounted to USD 198.7 billion. The growth in imports is indicative of growing cross-border demand for business and financial services. As a result, in FY25, the services trade surplus increased to USD 188.8 billion, reaching the highest level ever recorded. Effectively, the surplus in services trade covered two-thirds of the merchandise trade deficit.



4.58 Services trade remains strong in FY26, with exports increasing by 6.5 per cent to USD 304.0 billion and imports increasing by 1.5 per cent to USD 152.2 billion in April-December 2025. The services trade surplus amounted to USD 151.7 billion, accounting for 61.1 per cent of the merchandise deficit, highlighting the resilience of the software, BPM, consulting, and fintech sectors. Software services exports have historically been the largest part of the country's overall service exports, with business services exports increasing recently (Chart IV.11). This growth is due to the country's success as a global hub for Global Capability Centres (GCCs), which grew at a 7 per cent CAGR from FY20 to FY25. Key drivers include talent availability and diversity. According to Stanford's

AI Index Report 2025, the country is second globally in AI skill penetration with a score of 2.5, just behind the US at 2.6.^{63,64} Its strong physical and digital infrastructure, combined with labour arbitrage, SEZ-based GCCs benefiting from tax holidays, and a vibrant startup ecosystem, bolster its cost competitiveness and efficiency.⁶⁵ Chapter 9 of the Economic Survey discusses the rising role of GCCs in the economy.



4.59 The RBI's survey on computer software and information technology-enabled services (ITES) shows that software services exports have increased by 7.3 per cent (YoY) in FY25, following an increase of 2.3 per cent (YoY) in FY24. In FY25, computer services exports account for over two-thirds of India's total software service exports, while BPO services remain the most significant component of ITES exports. Furthermore, while the US remains the largest destination for software exports from India, its share has decreased from 54.1 per cent to 52.9 per cent between FY24 and FY25. Concomitantly, Europe's share has increased from 30.8 per cent to 32.8 per cent during the same period.^{66,67}

63 Stanford University. (2025). Artificial Intelligence Index Report 2025, <https://tinyurl.com/4sstmw7y>.

64 Maslej, N., et al. (2025). The AI Index 2025 annual report. AI Index Steering Committee, Institute for Human-Centred AI, Stanford University, <https://doi.org/10.48550/arXiv.2504.07139>.

65 Confederation of Indian Industries. (2025). Global Capability Centres: Suggestions for a national framework on GCCs - Unlocking potential as the preferred destination for GCCs, <https://tinyurl.com/4kz4azv4>.

66 RBI's Survey on Computer Software and Information Technology Enabled Services Exports: 2024-25, <https://tinyurl.com/38s59zu4>.

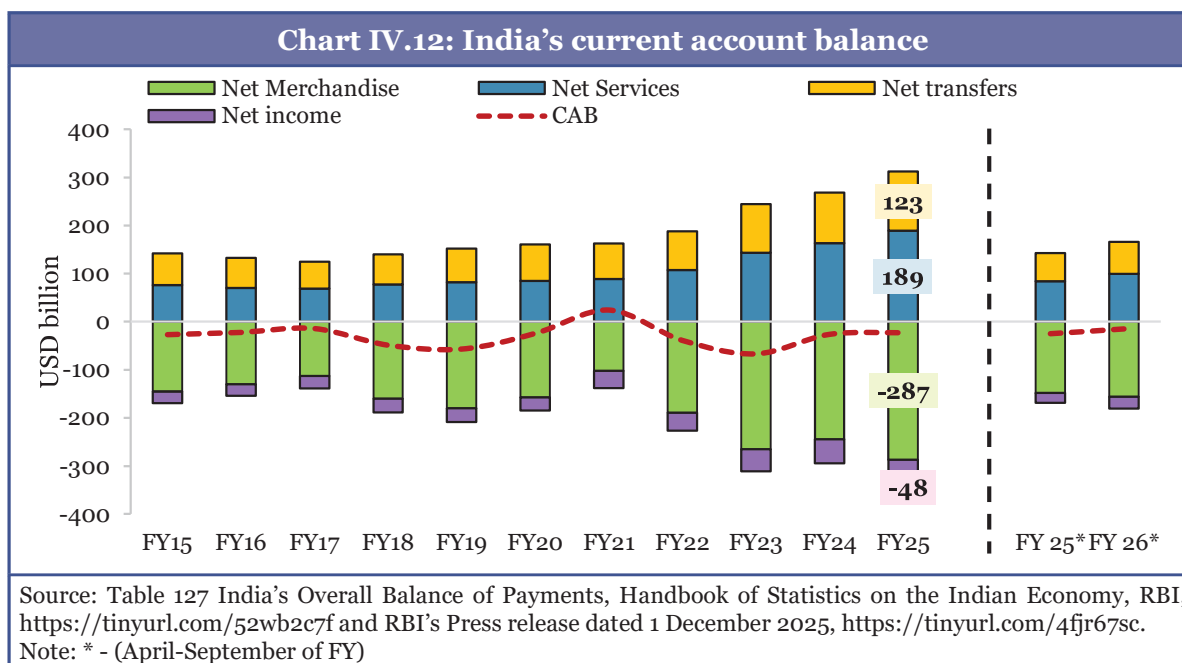
67 RBI's Survey on Computer Software and Information Technology Enabled Services Exports: 2023-24, <https://tinyurl.com/ynaww7mb>.

INDIA'S BALANCE OF PAYMENTS

4.60 The Balance of Payments (BoP) statement provides a consolidated record of India's transactions with the rest of the world, capturing developments in the current account and capital account and offering a comprehensive view of the economy's external sector.

Developments in the current account

4.61 India's current account structure reflects a merchandise trade deficit offset by strong net inflows of invisibles, led by rising surpluses in services and private transfers (Chart IV.12). The services surplus has expanded steadily, driven by India's growing role in global IT, business, and professional services. Remittance inflows have also increased consistently, providing a stable, counter-cyclical buffer. These components have collectively kept the current account deficit (CAD) within manageable levels. In H1 FY26, the CAD moderated to USD 15 billion (0.8 per cent of GDP) from USD 25.3 billion (1.3 per cent of GDP) in H1 FY25.

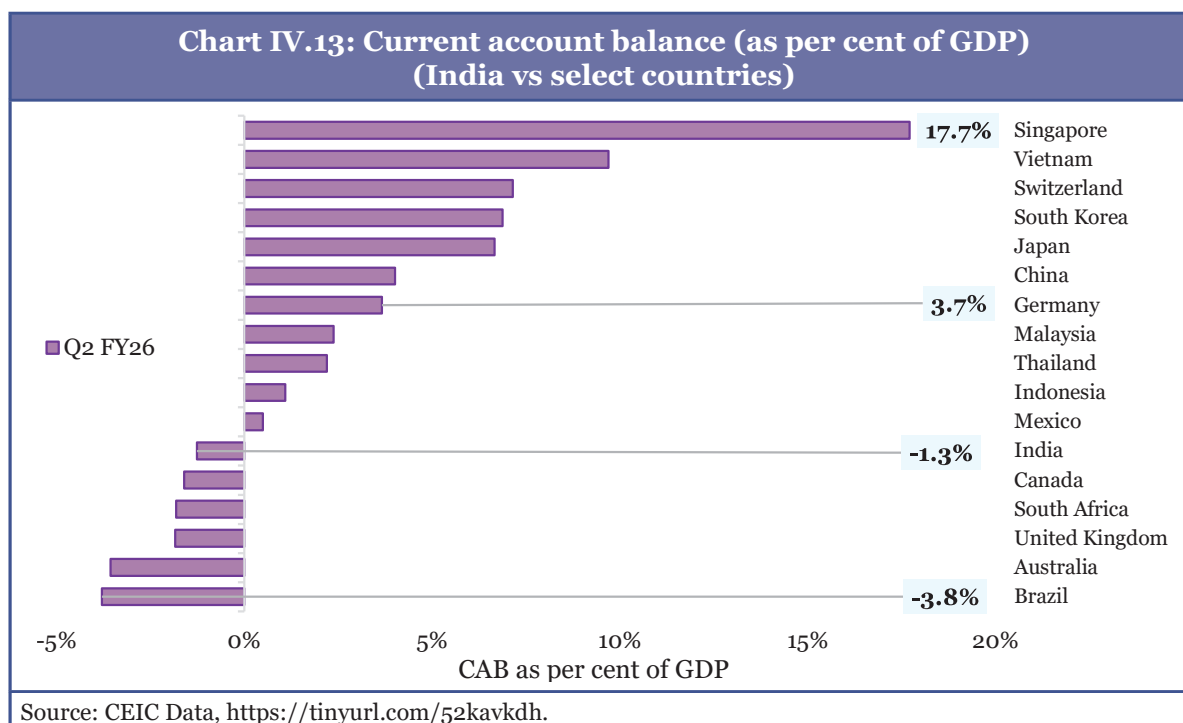


4.62 Countries with sizeable current account surpluses tend to be export-driven, while deficits are common in import-heavy economies. Major surplus economies such as Singapore and Germany run substantial trade surpluses in high-value manufacturing and related sectors.^{68,69} Comparing India's CAD with that of other countries in Q2 FY26, India's modest deficit of about 1.3 per cent of GDP places it among economies with modest and sustainable deficits. It is better positioned than its high-deficit peers, such

⁶⁸ Singapore Department of Statistics, <https://tinyurl.com/3cbc4rn2>.

⁶⁹ Deutsche Bundesbank Euro system, <https://tinyurl.com/yp47v2a>.

as New Zealand (-7.7 per cent), Brazil (-3.8 per cent), Australia (-3.6 per cent), the UK (-1.8 per cent), and Canada (-1.6 per cent).



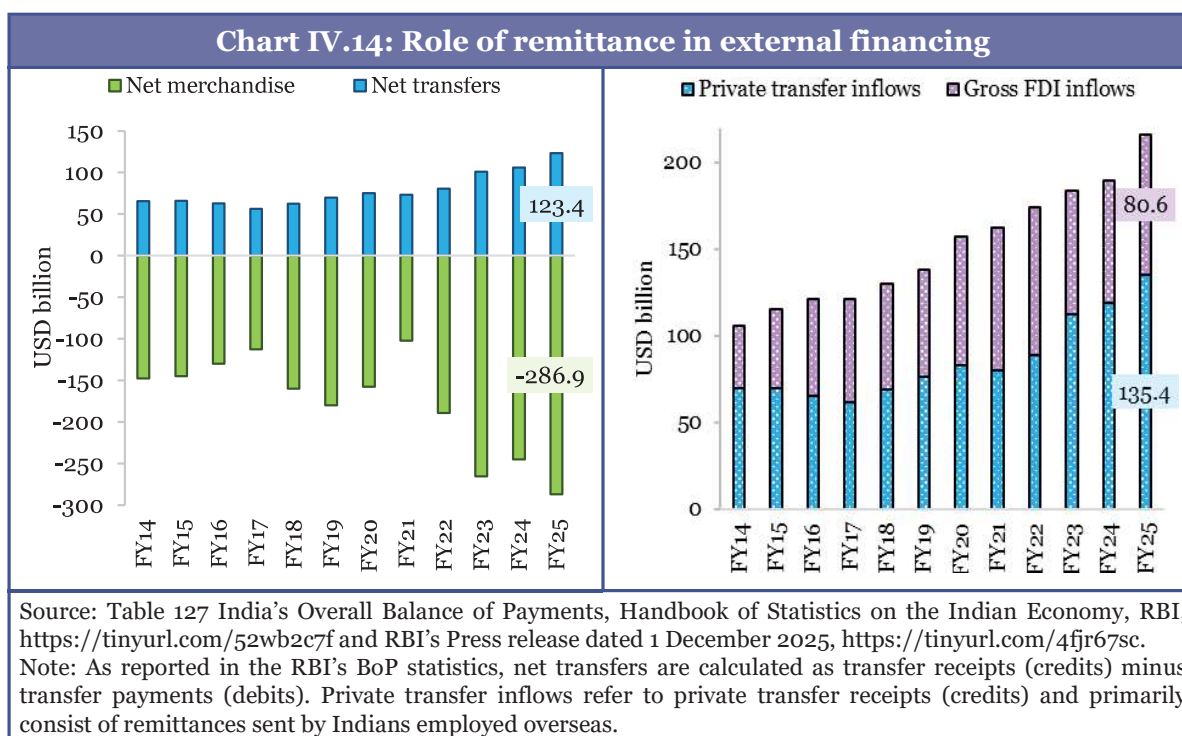
Remittances

4.63 Private transfer receipts, mainly representing remittances by Indians employed overseas, remained a key source of external-sector strength in FY26. Remittances increased to USD 73 billion in H1 FY26, up from USD 64.7 billion in the same period the previous year.⁷⁰

4.64 This near-term performance is consistent with India's longer-term position as the world's largest recipient of remittances. The latest available data indicate that remittance inflows increased steadily from USD 55.6 billion in FY11 to USD 135.4 billion (provisional) in FY25, accounting for approximately 3.5 per cent of GDP in FY25 (provisional). Correspondingly, net transfers⁷¹ have financed a substantial portion of the merchandise trade deficit during this period. Furthermore, in most years, remittances (private transfer receipts) have surpassed gross FDI inflows, highlighting their importance as a dependable source of external funding (Chart IV.14).

⁷⁰ Remittances are proxied by private transfer inflows, which denote total private transfer credits in the BoP statistics.

⁷¹ Defined as the difference between total (private and official) transfer receipts and transfer payments



4.65 Against this backdrop of sustained and rising remittance inflows, the RBI's sixth round of the Survey on Remittances for FY24 reveals notable shifts in remittance composition, geography and mode of remittance. While Gulf Cooperation Council countries have historically dominated India's inward remittances, AEs now contribute more, indicating a shift towards skilled and professional workers. The US is the top contributor with 27.7 per cent, followed by the UAE (19.2 per cent), the UK (10.8 per cent), and Singapore (6.6 per cent).

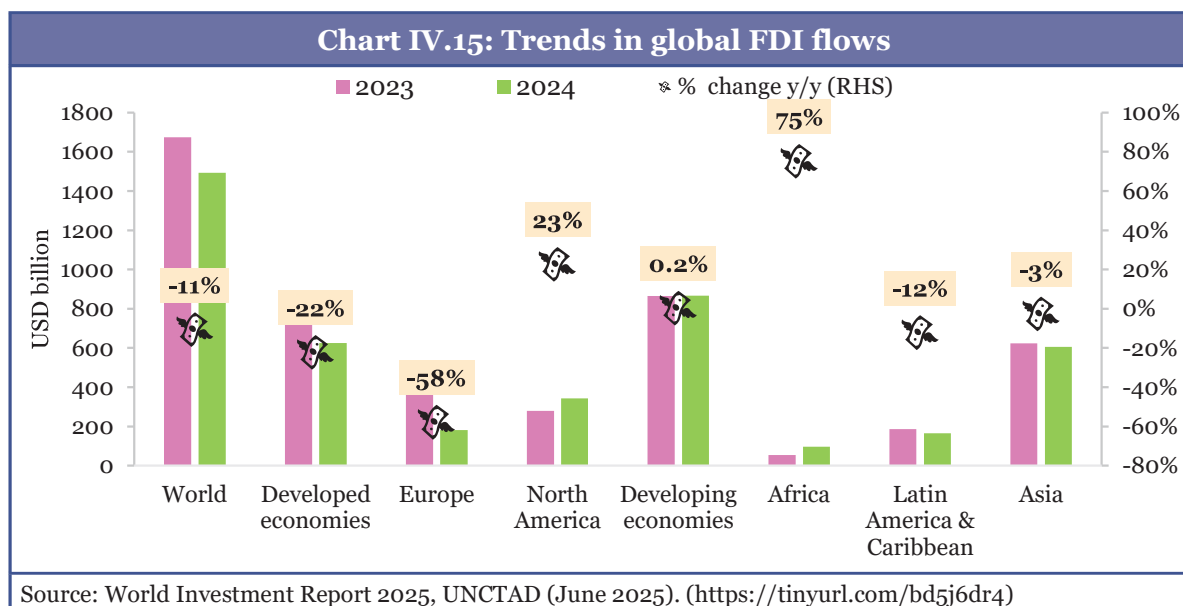
Capital account development

4.66 The capital account records how India interacts with global financial markets through cross-border investments, external borrowings and other capital transactions and is central to understanding how the economy finances its current account needs. Developments in this account also signal the degree of confidence global investors place in India's growth outlook, as countries with stronger macro fundamentals typically attract more stable and longer-term capital. In recent years, India's capital account dynamics have been shaped by a combination of resilient FDI inflows, periodic swings in portfolio investment and shifts in external commercial borrowing in response to global interest-rate cycles.

Global trends in foreign direct investment flows

4.67 An assessment of India's FDI flows needs to be placed in the context of broader global investment trends. The global FDI landscape has remained subdued through CY

2024 and into the first half of CY 2025, extending the weakness that has characterised international investment flows in recent years.⁷² According to the latest UNCTAD's World Investment Report 2025, global FDI inflows declined by 11 per cent (YoY) in CY 2024, marking the second consecutive year of contraction (excluding European conduit economies).⁷³ The downturn was driven by a 58 per cent fall in FDI to Europe and a 29 per cent decline in China.



4.68 Despite tighter financing conditions and heightened geopolitical uncertainty, FDI inflows to developing economies remained broadly stable at USD 867 billion (57 per cent of global FDI) in CY 2024. Asia continued to be the largest recipient region, although it recorded a modest 3 per cent decline in inflows in CY 2024.

4.69 Preliminary data for H1 2025 shows a further 3 per cent decline in global FDI inflows compared to H1 2024. Net cross-border mergers and acquisitions, which generally reflect immediate shifts in corporate strategy, dropped sharply by 23 per cent, while the number of greenfield project announcements, an indicator of new capacity creation, decreased by 17 per cent in the same period in H1 2025 compared with H1 2024. However, the overall picture is not uniformly negative. The total value of greenfield announcements increased by 7 per cent in H1 2025, driven by significant investments in the digital and AI-related sectors. This dichotomy between the number and value of projects was due to large-scale announcements in semiconductors and

⁷² UNCTAD Global Investment Trend Monitor, October 2025: <https://tinyurl.com/42dxk27d>.

⁷³ FDI flows are inflated by volatile flows through conduit economies. Excluding those, FDI flows fell by 11 per cent in CY 2024. Several European economies, including Ireland, Luxembourg, the Netherlands and Switzerland, where FDI statistics are significantly affected by conduit financial flows, reported large fluctuations and negative numbers in 2023 and 2024. Fewer negative numbers in 2024 exerted a net positive effect on global flows of about USD 230 billion.

data centres in developed countries,⁷⁴ underscoring the increasing concentration of global capital in technology-intensive sectors.⁷⁵

4.70 International project finance, which is central to infrastructure investment in developing economies, also experienced a contraction, with its total value declining by 8 per cent in H1 2025, continuing the downward trajectory observed in CY 2023 and CY 2024. This weakness was more pronounced in renewable energy and power, reflecting the impact of higher global interest rates that have raised the cost of capital for long-gestation projects.

4.71 FDI inflows to developed countries (excluding European conduit economies) declined by 7 per cent in the H1 of 2025. The number of greenfield project announcements in these nations fell by 20 per cent over the same period, primarily driven by decreases in manufacturing sectors reliant on supply chains. The US remained a notable exception, supported by substantial commitments in the AI and semiconductor sectors. Taken together, these trends indicate a shift in global investment flows away from capital-intensive, long-gestation infrastructure projects towards shorter-cycle, technology-driven investments.

Trends in investment flows into India

4.72 Cross-border financial flows, which include flows in securities (e.g., stocks and bonds) and in FDI, are an important mechanism of India's integration with global capital markets. India has consistently attracted sizeable gross investment inflows, amounting to 18.5 per cent of GDP in FY25 and 16.9 per cent in H1 FY26, even amid tightening global financial conditions.⁷⁶

4.73 According to UNCTAD data, while India recorded a marginal decline of 2 per cent in FDI inflows in CY 2024, it remained the largest recipient of gross inflows in South Asia and surpassed major Asian peers such as Indonesia and Vietnam. The decline was relatively modest when viewed against the sharp contractions experienced by several large emerging markets.

4.74 This resilience is also evident in greenfield investment activity, which provides a forward-looking signal of global investor sentiment. India ranked fourth globally in CY 2024, with 1,080 announced greenfield projects, and has emerged as the largest destination for greenfield digital investments between CY 2020 and CY 2024,

⁷⁴ The number of greenfield announcements fell by 12 per cent, while the total project value dropped by 37 per cent in developing countries.

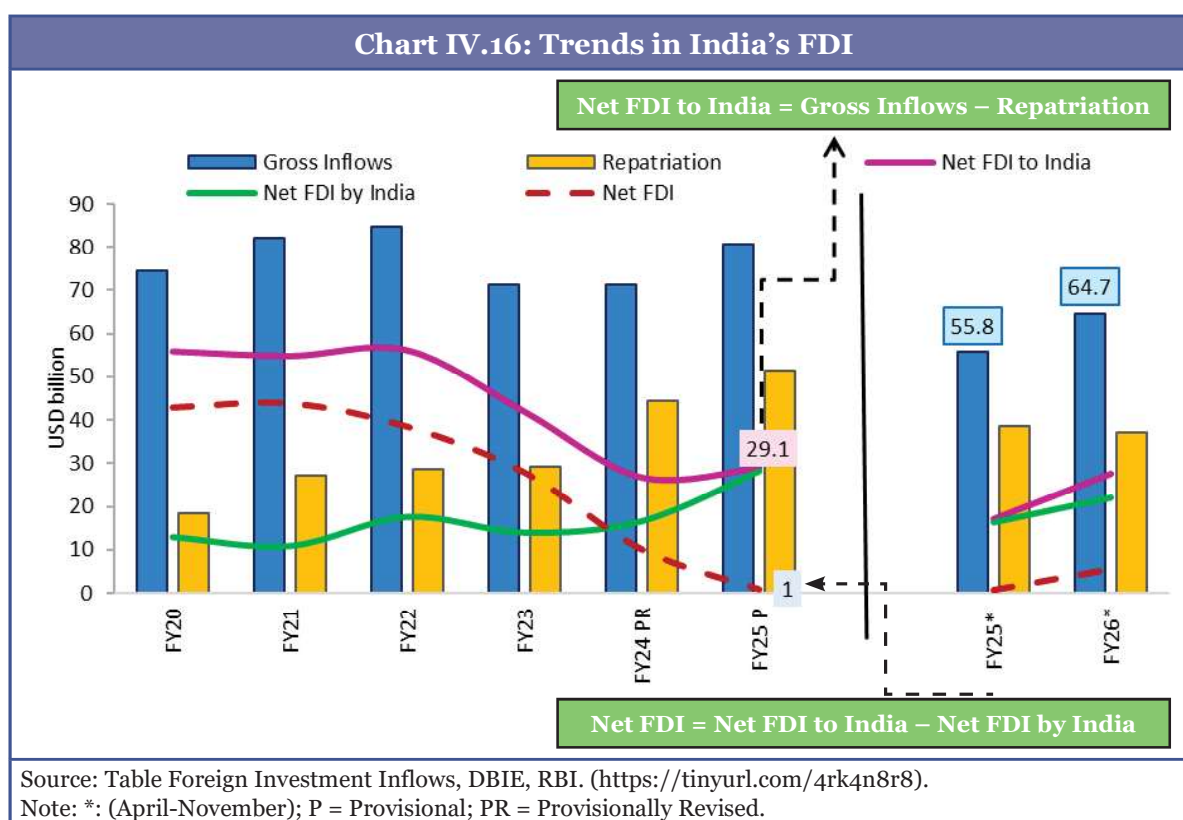
⁷⁵ Ibid note 72.

⁷⁶ Gross investment inflows refer to credit-side foreign investment flows, comprising gross FDI and FPI inflows, as reported in RBI's BoP statistics.

attracting USD 114 billion. This is well ahead of Malaysia (USD 74 billion), Singapore (USD 39 billion), Vietnam (USD 32 billion), Mexico (USD 29 billion), and China (USD 24 billion).⁷⁷ Notably, India attracted investments across various categories, including digital services, data centres, and IT infrastructure.

4.75 According to RBI data, in FY25, gross FDI inflows into India stood at USD 81.0 billion, representing a 13 per cent increase from USD 71.3 billion in FY24⁷⁸. Of these gross FDI inflows, equity inflows accounted for USD 51 billion, and approximately 60 per cent of these flows were directed towards services, computer software and hardware, trading, non-conventional energy, construction, and the automobile sector.⁷⁹

4.76 In April-November 2025, gross FDI inflows strengthened further to USD 64.7 billion, compared with USD 55.8 billion in April-November 2024. The magnitude of inflows during the first eight months of the year highlights sustained investor confidence despite a subdued global environment and reflects the underlying strength of India's digital economy, as well as the continued policy emphasis on manufacturing and infrastructure.



⁷⁷ UNCTAD's World Investment Report, 2025: <https://tinyurl.com/28zfztdw>

⁷⁸ RBI Bulletin (December 2025): <https://tinyurl.com/4b7y7zc7>

⁷⁹ Factsheet on FDI Inflow, DPIIT: <https://tinyurl.com/38vfrd49>

4.77 FDI outflows from India increased to USD 22.1 billion during April-November 2025. Despite this, improvements in gross inflows along with a moderation in profit repatriation by foreign investors led to a strengthening of net FDI. Net FDI increased nearly sevenfold to USD 5.6 billion during April-November 2025, up from USD 0.8 billion in the same period a year earlier.

4.78 It is important to examine the return on inward FDI, while there is a recent slowdown in net FDI, which would indicate the profitability of the investments. Box IV.2 presents evidence on India's inward FDI returns, providing a useful complement to the analysis of gross and net inflows.

Box IV.2: Returns on inward Foreign Direct Investment

Returns on inward FDI are estimated as FDI equity income receipts expressed as a percentage of the total inward FDI stock.⁸⁰ This indicator provides information on the profitability of direct investment enterprises. For example, when the rate of return on inward FDI increases, it implies that resident direct investment enterprises are more profitable and more competitive for investors.

To account for the lag between investment and income generation, the inward FDI stock is measured with a two-year lag, recognising that returns typically materialise after an initial gestation period. This is particularly relevant given the multi-year gestation periods typical of investments in manufacturing, infrastructure and digital services. Accordingly, annual returns on inward FDI are computed as:

$$\text{FDI Return}_t = \frac{\text{Direct Investment Income}_t}{\text{Inward FDI Stock}_{t-2}}$$

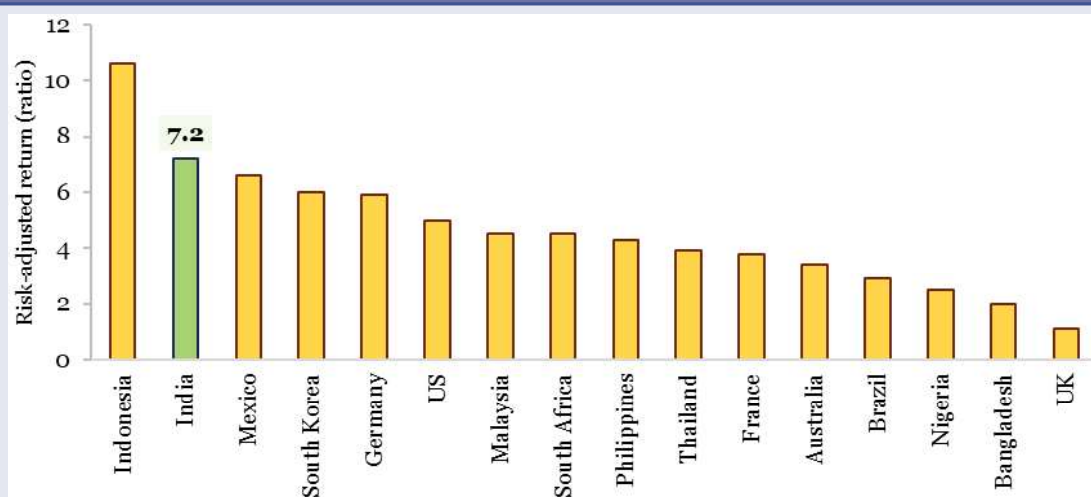
Using this approach, CareEdge analysis⁸¹ for 2014-2023 shows that India's average return on inward FDI is approximately 7.3 per cent, higher than that of some major emerging economies, such as Thailand (7 per cent), Brazil (6.1 per cent), Mexico (4.3 per cent), and South Africa (4.3 per cent). It is also higher than that of some AEs, such as France (3.6 per cent), Germany (3.0 per cent), the US (2.9 per cent), and the UK (2.2 per cent).

This analysis is further extended to compute the risk-adjusted return, defined as the ratio of the 10-year average return to its standard deviation. India ranks second only to Indonesia among the major economies examined, with a ratio above 7, compared with around 5 or lower for several large AEs. This combination of higher returns and comparatively low volatility underscores India's positioning as a destination offering reasonable yield without exposing investors to extreme earnings swings. The average FDI returns in India remain attractive.

⁸⁰ OECD Methodology: <https://tinyurl.com/4652bhy5> and Eurostat's Methodology: <https://tinyurl.com/y4mxr6ey>

⁸¹ CareEdge Ratings Analysis (December, 2025): <https://tinyurl.com/bddpjnta>

Chart IV.17: Risk-adjusted return on inward FDI
(Average Return [2014-23] ÷ Standard Deviation)



Source: CareEdge Estimates.

4.79 Net FDI, which has traditionally been driven by fluctuations in gross inflows, has also reflected the impact of repatriation and Overseas Direct Investment (ODI) by Indian firms in recent times. While these outflows mechanically reduce net FDI, they align with the growing internationalisation of Indian enterprises as they expand their business presence abroad, enabling them to compete in the global market and strengthening the Indian economy in the long term. Furthermore, the rising trend of repatriation suggests that India is not only attracting foreign capital but also delivering strong returns, which enhances its reputation as a reliable investment destination.

4.80 Going forward, the challenge is to sustain FDI inflows in an environment of heightened global volatility, which underscores the need for a multi-pronged strategy that strengthens the investment climate by addressing both structural and cyclical factors that determine capital flows. Box IV.3 discusses this challenge and suggests a way forward.

Box IV.3: India's FDI Challenge: Turning success into sustainable growth

EMDEs, including Indonesia, Mexico, Poland, Morocco, and Vietnam, have effectively leveraged the trade and investment reorientation strategies employed by China and the US. By positioning themselves as connector countries,⁸² these nations have reaped the benefits of FDI, driven by tariff avoidance and the intent to serve as export platforms. Connector countries serve as a base for multinational enterprises that establish production in the host

⁸² "Connector countries" are geopolitically aligned countries or those that satisfy the criteria for political stability, regulatory quality, and other structural factors conducive to investment. They serve as conduits in trade and investment flows between geopolitical blocs.

country primarily to export goods or services to other markets, rather than mainly catering to the domestic market.⁸³

Countries have also been attracting FDI through a mix of policies and incentives, with the latter being used to stimulate investments in strategic sectors. For example, Vietnam has been able to attract greater FDI by leveraging corporate tax rate reductions for investors, well-developed industrial zones, and a deep network of FTAs. Its geographic proximity to East Asia's top emerging economies and business-friendly policies make it a preferable host for investments.⁸⁴ Vietnam has introduced a policy to accelerate investment project approvals, "Decree 19", which establishes a special investment procedure that drastically streamlines the investment licensing process, aiming to attract high-quality capital, particularly in high-tech industries.⁸⁵ To attract investment into strategic sectors like artificial intelligence and semiconductors, Vietnam, Brazil, and Chile have been incentivising investment in research and development centres.⁸⁶

Malaysia undertook the facilitation route to attract investments by launching a 'Golden Pass' scheme to attract unicorn start-ups and venture capitalists, streamlining visa, employment, and licensing procedures.⁸⁷ Similarly, the Philippines has enacted the 'Create More Act', which empowers the Investment Promotion Agency to issue special visas to foreign nationals possessing highly specialised skills or occupying executive roles. These efforts collectively contribute to the favourable investment climate in these regions.⁸⁸

Another model through which many countries have successfully attracted foreign investment involves the establishment of structures headed by higher levels of government. Some examples are detailed in the table below.⁸⁹:

Country	Institutional structure to attract FDI	Tools/Measures
Vietnam	Foreign Investment Agency and Special Working Group headed by the Minister for investment promotion and attracting multinational manufacturing projects Prime Minister (PM) level meetings and monitoring of investments	Tax holidays; customs exemptions; industrial park preparedness; land access; proactively courting investments; roadshows to headquarters

83 Bloomberg. (2023, November 1). These five countries are key economic 'connectors' in a fragmenting world, <https://tinyurl.com/42d5myev>.

84 Dezan Shira and Associates, Doing Business in Vietnam, accessed on 09 December 2025, <https://tinyurl.com/46emvss2>.

85 Government of Vietnam, Decree No. 19/2025/ND-CP, dated 10 February 2025, <https://tinyurl.com/54rzw6k3>.

86 Ibid note 77.

87 Government of Malaysia, keynote address by the Hon'ble Rafizi Ramli, Minister of Economy at KL20 Summit 2024, <https://tinyurl.com/yr6uw3bb>.

88 2025 Investment Climate Statements: Philippines, <https://tinyurl.com/48akrxaj>.

89 Ministry of Planning and Investment of the Socialist Republic of Vietnam: <https://tinyurl.com/yaexy2hm>, Malaysia Investment Development Authority: <https://tinyurl.com/4btpn925>, Thailand Board of Investment – Investment Promotion Guide 2025: <https://tinyurl.com/epbt9n6m>, InvesTaiwan: <https://tinyurl.com/y3t2rjtt>, Australian Government – Department of Foreign Affairs and Trade: <https://tinyurl.com/32ukcazu>.

Malaysia	Malaysian Investment Development Authority, chaired by Minister/senior industrialist National Committee on Investment PM chairs National Investment Council	Investment missions; tailor-made tax incentives; more extended tax holidays up to 10 years; short-term special incentives; entry facilitation for businesses
Thailand	Board of Investment; Eastern Economic Corridor initiative (chaired by the PM) Special task force in high-tech industries Quasi-regulatory authority for the grant of incentives	Tax cuts- personal, corporate; import exemptions; largest project approvals by the Board chaired by the PM
Taiwan	InvesTaiwan initiative; focus on high-value manufacturing; Single-window service centre for investors	Low-interest loans, tax breaks and subsidies, simplified tax procedures
Australia	Global business and talent attraction taskforce Cross-agency task force PM level monitoring	Visa concessions, R&D tax incentives, and fast-tracked project approvals; permanent residency to highly skilled individuals in target sectors

A common thread running across these senior empowered structures is their authority to negotiate investment deals using incentives. India's task to attract FDI is even more complex, as it is not just competing with the world's current largest exporter for shifting GVCs to India, but also with emerging FDI destinations (as per the Table above), which have already been wooing investors with interventions at the PM level.

India has what it takes to attract FDI, given that institutions like Invest India are already in place. However, the integration of efforts, culminating in a structure led by the highest levels of the government with robust Centre-State coordination, is what would make large investors believe in our intention to host them. Furthermore, a strategic approach to identifying priority sectors, along with a mix of incentives and reforms, will help prevent the dilution of policy efforts and improve overall effectiveness.

Challenges and way forward

Global surveys show that political stability and strong macroeconomic fundamentals are key drivers of FDI. India excels in this area but could better leverage its strengths. Despite a clear government intent and proven economic management, FDI inflows remain below their potential, especially for infrastructure needs. Proactive reforms are essential to attract more foreign investment.

This approach involves developing a targeted strategy that identifies a specific set of GVC anchors and establishes a state apparatus that collaborates directly with them as partners. The direct engagement will help resolve cross-agency issues and provide customised and time-bound solutions. Additionally, it is crucial for India not only to offer compelling incentives but also to ensure these incentives are reliably implemented. This strategy will

help mitigate execution risks for involved firms, fostering a more stable and attractive investment environment. Establishing a single, empowered centre of accountability will position India as a credible alternative production hub capable of handling large volumes, integrating with global suppliers, meeting regulatory and compliance standards, and, importantly, providing predictability over a multi-year timeframe.

Creating a task force to engage top global companies and promote India's advantages - stability, macroeconomic strength, sustained growth and market size - could boost FDI, especially in targeted sectors. Proactive diplomacy, highlighting these strengths, can help offset tariff challenges.

Efforts to improve the investment environment by simplifying processes and procedures to attract FDI will need to be kept up.⁹⁰ As foreign investors prioritise predictability and sustainability in policies, every policy change in the country must pass the necessity test to meet both these parameters.

Further enhancements are required on the regulatory environment front, as well as improvements in logistics and workforce development. The World Bank's Logistics Performance Index, for example, placed India at 38th position in 2023.⁹¹ While on the one hand, these gaps indicate how far India is from achieving the world's best in terms of logistics, they also open doors to vast improvement opportunities that could yield substantial returns in terms of FDI.

The momentum created by improvements in the investment climate, streamlined regulations, and reduced bureaucratic procedures, thereby enhancing the ease of doing business, must be sustained and accelerated. India's credit rating upgrades can be leveraged for additional momentum, as foreign investment and sovereign ratings demonstrate a strong historical correlation globally. India's continued economic resilience, steadfast commitment to fiscal consolidation, and reform trajectory position it well for unlocking investor interest.

On bilateral initiatives, the signing of the Bilateral Investment Treaty between India and Israel, along with the binding commitment of USD 100 billion in investment under the India-European Free Trade Association (EFTA) Trade and Economic Partnership Agreement (TEPA), bodes well for India's FDI inflows, provided these agreements are effectively implemented. This along with the signing of the India-UK Comprehensive Economic and Trade Agreement, have the potential to increase FDI inflows.⁹² While it is essential to recognise the role of trade and investment agreements as enablers, there is a pressing need for action across departments and agencies to streamline India's trade policy and secure a greater role in GVCs.

Companies harvest profits from established operations in India while hesitating to commit fresh capital amid global uncertainty. The solution lies in mobilising new investment through policy stability, aggressive investor engagement, and scaling proven state-level models nationwide.

⁹⁰ WTO. (2023, December 21). Statement By India on Agenda Item 18, General Council Meeting 13-15 December 2023. WT/GC/262, <https://tinyurl.com/2fbwbjh3>.

⁹¹ World Bank's Logistics Performance Index, <https://tinyurl.com/bdfr8a5z>.

⁹² PIB press release India-EFTA Trade Pact: Boosting USD 100 billion investment and 1 million jobs, dated 11 October 2025, <https://tinyurl.com/23m4ezv7>.

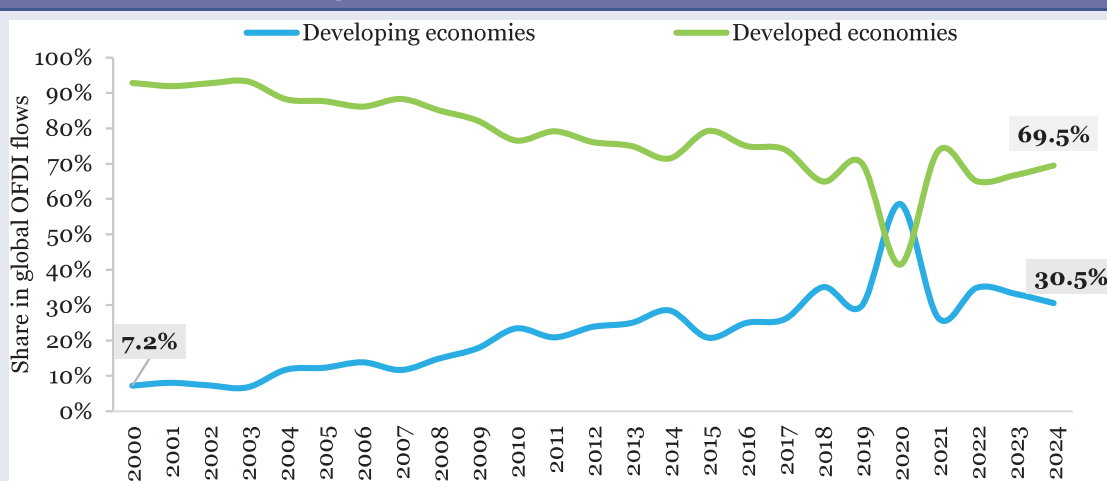
India's fundamentals, such as strong growth, expanding markets, and a demographic dividend, remain compelling magnets for investment, yet FDI strategies must become bolder and offer the best to global investors. The window for action is still open, but it will not remain so indefinitely. There is a need to move decisively to transform the FDI challenge into the next chapter of our economic growth story.

4.81 As India deepens its integration with GVCs, outward investment has emerged as an important complement to inward FDI in shaping India's external sector. The steady rise in ODI reflects the growing competitiveness of Indian firms, their efforts to secure technology, markets, and resources abroad and the enabling effect of the liberalised ODI framework introduced in 2022. These trends underscore a structural shift to an economy whose enterprises are increasingly engaging in global expansion.⁹³ Box IV.4 examines the evolving contours of India's ODI and its implications for long-term growth.

BOX IV.4: Impact of Outward FDI on the home country

International investment flows reflect growing economic integration, with inward FDI signalling investor confidence and outward FDI reflecting the internationalisation and competitiveness of domestic firms. In recent decades, developing economies have become increasingly prominent sources of outward FDI (OFDI), with their share in global FDI outflows rising from nearly 7 per cent in 2000 to close to 30 per cent by 2024, signifying the internationalisation of enterprises from traditionally capital-scarce regions.

Chart IV.18: Share of developed & developing economies in global OFDI flows, 2000-2024 (%)



Source: UNCTAD Stat database, <https://tinyurl.com/2tatc2u4>.

For India, where capital formation needs remain substantial, a key policy question is whether OFDI diverts investible resources from the domestic economy or strengthens long-term

93 PIB Press Release of the Ministry of Finance, dated 22 August 2022, <https://tinyurl.com/mvdjajkr>.

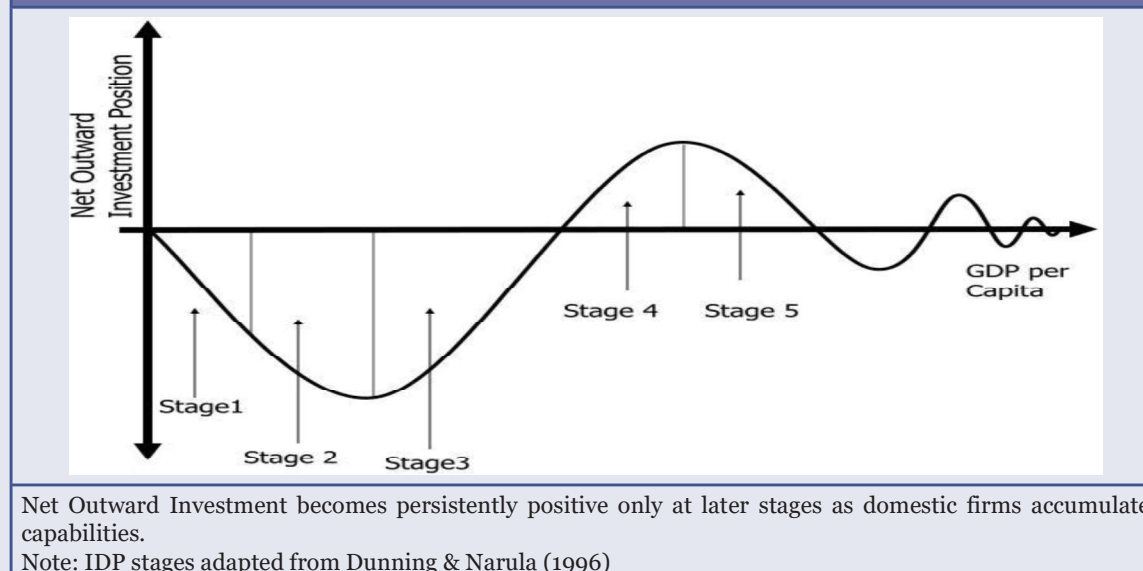
competitiveness through knowledge internalisation, capability enhancement, and greater participation in GVCs. Assessing home-country effects of OFDI, therefore, requires moving beyond concerns of capital flight towards evaluating longer-term productivity and innovation impacts.

Channels of impact

Knoerich (2017)⁹⁴ outlines three principal channels through which OFDI can generate home-country gains: (i) financial returns through repatriated profits, dividends payments and intra-firm transfers that strengthen foreign exchange earnings and potentially relax financing constraints for parent firms; (ii) intangible capability gains as firm's overseas operations expose firms to new technologies, managerial know-how, regulatory & quality standards, and global customer preferences. (iii) tangible capacity gains from acquiring resources, brands, and distribution networks, which deepen domestic production networks, foster product upgrading, and facilitate entry into higher value-added segments of GVCs.

The overall effect of OFDI on the home economy depends on domestic absorptive capacity (skills, R&D, institutions, and financial depth) as well as policies that support the domestic assimilation of overseas knowledge and investment.

Chart IV. 19: Investment Development Path



The Investment Development Path (IDP) framework (Dunning, 1981⁹⁵; Dunning and Narula, 1996⁹⁶) posits that countries evolve from being predominantly inward FDI recipients in early development stages to net outward investors as their productive capabilities, technological depth, and institutional maturity improve. India is generally assessed to be in Stage III of

94 Knoerich, J. (2017). How does outward foreign direct investment contribute to economic development in less advanced home countries. *Oxford Development Studies*, 45(4), 443-459.

95 Dunning, J.H. (1981). "Explaining the International Direct Investment Position of Countries: Towards a Dynamic or Developmental Approach." *Weltwirtschaftliches Archive*, 117(1), 30-64.

96 Dunning, J. H., & Narula, R. (1996). The investment development path revisited. *Foreign direct investment and governments: Catalysts for economic restructuring*, 1-41.

the IDP, with outward investments increasingly concentrated in technology-intensive sectors, indicating a gradual shift from primarily market-seeking investments to asset and capability-enhancing overseas ventures [Mohanty et al. (2024)].⁹⁷

This pattern aligns with cross-country evidence from BRICS and Next-11 economies, where GDP growth, trade openness, and financial development are major drivers of OFDI, while human capital and inward FDI further reinforce the process in more advanced emerging markets such as BRICS. In turn, higher OFDI is associated with improved economic dynamism, suggesting a two-way relationship between external investment and domestic performance [Mohanty, Sethi and Dash, 2024].⁹⁸

Several studies find that OFDI may substitute for domestic investment in the short run but complements it in the long run, as firms reinvest earnings, upgrade domestic facilities, and strengthen supply chains (Herzer, 2010⁹⁹). Overall, international evidence suggests that outcomes are heterogeneous, shaped by sectoral structure, development stage, and the nature of outward investment (market-seeking vs. efficiency or asset-seeking).

India's experience: Empirical evidence from India indicates that OFDI has complemented, rather than displaced, domestic investment. Sahoo and Bishnoi (2021)¹⁰⁰ use macro-panel and time-series approaches to find that outward investment by Indian firms is positively associated with domestic investment. Outward-oriented firms have tended to expand exports and enhance R&D intensity (Das, 2015¹⁰¹), benefiting from learning and access to global markets that mitigate concerns regarding capital outflows and support productivity gains at home.

These patterns are consistent with OFDI being used as a mechanism for learning and upgrading, rather than as a pure relocation of existing activities. In India, post-liberalisation policy reforms since the 1990s, such as the relaxation of OFDI norms, simplification of approval processes, and a more open foreign exchange regime, have enabled Indian firms to undertake strategic asset-seeking investments abroad.

Trends in India's ODI¹⁰²

India's recent outward investment trajectory reflects its progression along the Investment Development Path, with firms increasingly using overseas ventures to acquire capabilities, strategic assets and access to global production systems. Outward investment increased from USD 14.4 billion in FY24 to USD 23.6 billion in FY25, driven by greenfield projects,

97 Mohanty, S., Sethi, N., & Dash, D. P. (2024). What determines outward FDI in developing blocs? A new empirical comparative macroeconomic perspective of post-1990s. *Heliyon*, 10(23).

98 Ibid note 97.

99 Herzer, D. (2010). "Outward FDI and Economic Growth." *Journal of Economic Studies*, 37(5), 476-494.

100 Sahoo, P., & Bishnoi, A. (2021). Impact of outward foreign direct investment: Evidence from Asia. *Journal of Policy Modelling*, 43(5), 1131-1148.

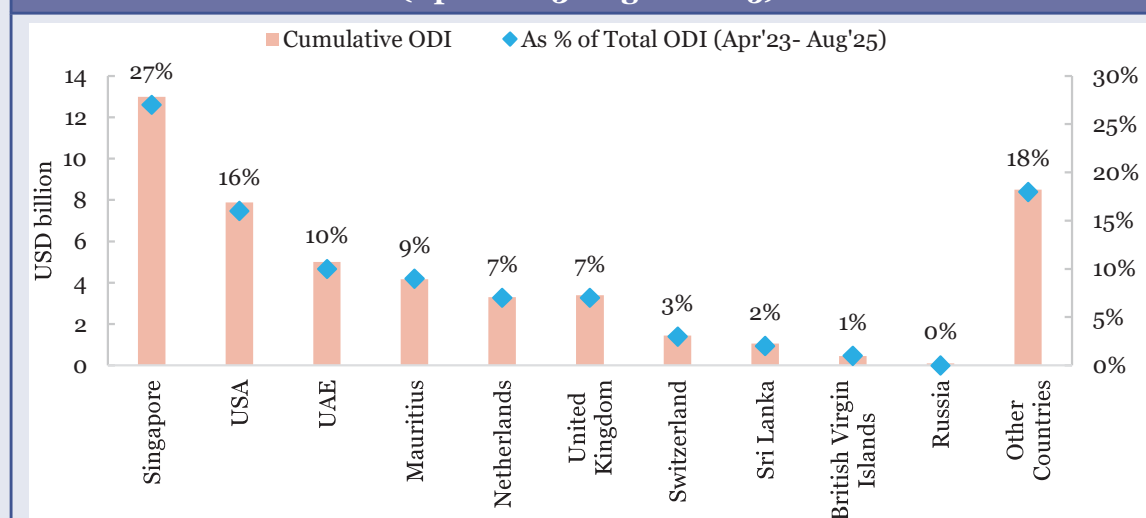
101 Das, K. C. (2015). Outward FDI by Indian manufacturing MNEs: impacts and implications (No. 148). ARTNeT working paper series.

102 OFDI refers to outward FDI as defined by international statistical standards such as UNCTAD. ODI denotes overseas direct investment by Indian residents as reported by the DEA, Ministry of Finance, and captures actual outward flows in the form of equity, loans, and guarantees.

joint ventures, and acquisitions. It increased further to USD 10.2 billion during April-August FY26, compared with USD 7.9 billion in the corresponding period last year.¹⁰³ The persistence of outflows despite global financial uncertainties underscores ongoing internationalisation by Indian enterprises.

Between April 2023- August 2025, nearly 82 per cent of cumulative ODI of USD 48.3 billion was directed to the top ten destination countries of Singapore (27 per cent), the United States (16 per cent), UAE (10 per cent), Mauritius (9 per cent) and the Netherlands and the United Kingdom (7 per cent each), reflecting both strategic-asset seeking in advanced markets and the use of international financial hubs.

**Chart IV.20: Geographical composition of India's ODI
(April 2023-August 2025)**



Source: Overseas Direct Investment Data Fact Sheet, DEA (<https://tinyurl.com/57wur3kk>)

Conclusion

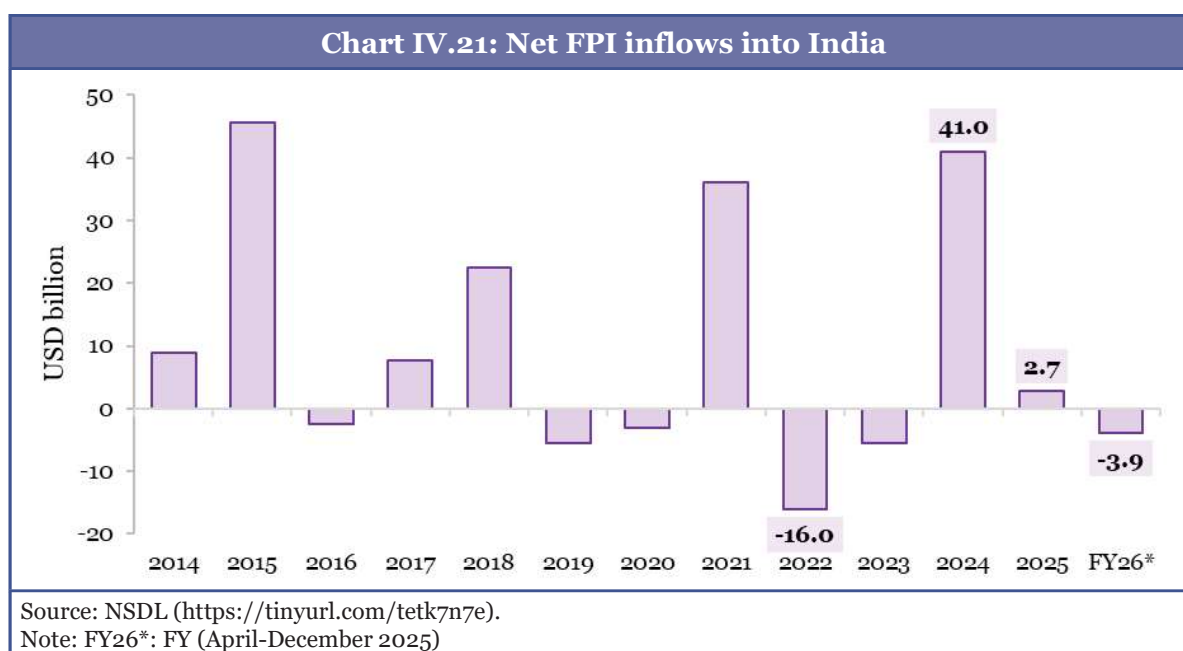
In sum, the home-country effects of OFDI are multi-dimensional and context-dependent. A common pattern across international and Indian evidence is that outward investment tends to reinforce domestic economic strength when underlying capabilities and institutions are robust. In contrast, weak absorptive capacity may result in resource diversion without adequate spillovers.

As Indian firms expand into higher-value segments, OFDI can serve as a strategic instrument for innovation, risk diversification, and global market positioning. The policy focus may therefore lie in enhancing repatriation and diffusion of knowledge, easing access to finance for globalising firms, and strengthening institutional support for international R&D collaboration.

¹⁰³ Overseas Direct Investment Data Fact Sheet August 2025, DEA: <https://tinyurl.com/57wur3kk>

Foreign portfolio investments

4.82 India's FPI pattern shows recurring cycles of inflows and outflows, with significant shifts often linked to global financial changes. While India attracts substantial foreign investment, episodes of sharp outflows, such as after the global financial crisis, during the 2013 'taper tantrum', the 2018 tightening cycle, and pandemic volatility, reflect global financial-cycle sensitivities. These fluctuations underscore how FPI flows, a key external capital source, also serve as channels through which global shocks can impact domestic markets.



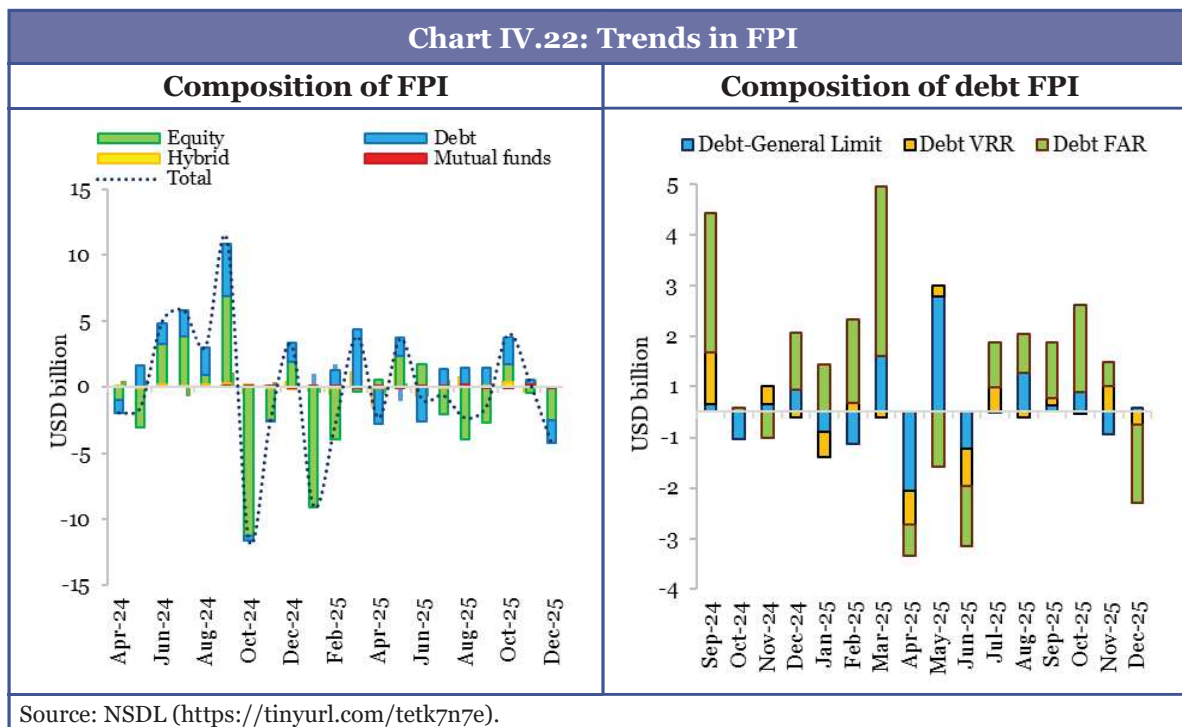
4.83 A breakdown of FPI components shows how foreign participation has evolved. Equity flows tend to dominate in positive years, especially during periods of strong earnings and favourable valuations, whereas debt flows are more sensitive to interest rates and global risk. The Voluntary Retention Route (VRR)¹⁰⁴ and Fully Accessible Route (FAR)¹⁰⁵ routes have stabilised debt flows, particularly when traditional flows were weak.

4.84 FPIs during FY26 (April-December) have fluctuated, mainly influenced by global financial conditions rather than domestic macroeconomic factors. The data indicate volatility, with six months of net outflows and three months of sizable net inflows, resulting in a modest net balance for the year-to-date. The outflow periods in FY26 coincided with periods of tightening global financial conditions, such as rising

¹⁰⁴ Under VRR, FPIs invest in Indian debt instruments with the condition that they will retain at least 75% of their investment for a minimum period (currently three years).

¹⁰⁵ FAR permits FPIs, NRIs, OCIs, and other eligible non-residents to invest without quantitative caps, repatriation limits, or sectoral restrictions in designated G-secs (known as FAR bonds).

US Treasury yields, which often trigger ‘flight-to-safety’ flows into advanced-economy assets. During these periods, foreign investors reduced their holdings in both Indian equities and debt; even categories that typically showed greater stability, such as VRR, experienced occasional selling.

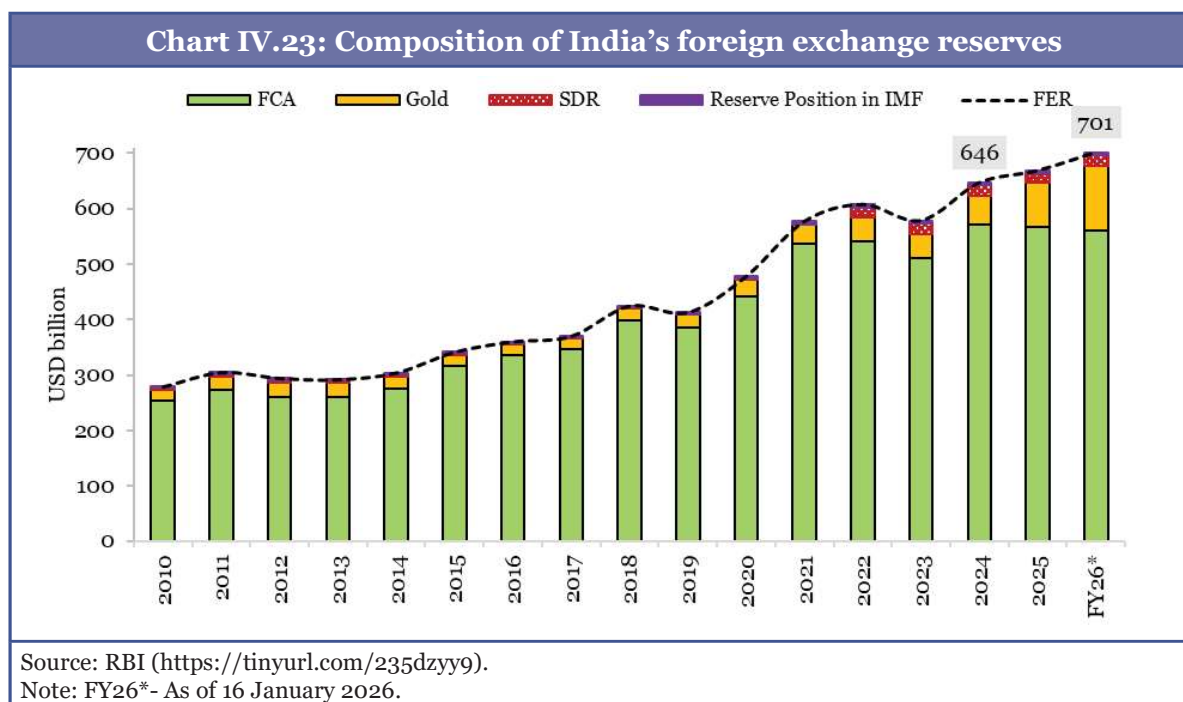


4.85 The three months of inflows in FY26 occurred during periods when global markets reassessed the interest-rate outlook and became more receptive to emerging market risks (May, October and November). These rebounds were mainly driven by the equity segment, supported by renewed interest in India’s corporate earnings trajectory and flows into the debt market as global long-term yields declined. The swift return of inflows during these periods highlights that foreign investors’ medium-term view of India remains positive, even though their short-term allocations are influenced by still-high valuations of Indian stocks and uncertainty about the trajectory of the India-US relationship, amid the high tariffs that Indian goods face in the United States.

Foreign exchange reserves

4.86 India’s foreign exchange reserves increased to USD 701.4 billion as of 16 January 2026, up from USD 668.3.4 billion as of the end of March 2025. The increase has come at a time when global interest-rate differentials, capital flows and commodity prices remain volatile. This expansion in reserves has helped steady India’s external position despite shifts in global risk sentiment and episodes of portfolio outflows. In terms of adequacy, the reserves as of 16 January 2026 are sufficient to cover around 11 months

of goods imports and about 94 per cent of the external debt outstanding at the end of September 2025, providing a comfortable liquidity buffer.



4.87 Foreign Currency Assets (FCA), which form the liquid core of reserves, softened slightly from USD 567.6 billion in end March 2025 to USD 560.5 billion as of 16 January 2026. In contrast, the gold component rose sharply to USD 117.5 billion as of 16 January 2026, compared with USD 78.2 billion at the end of March 2025. This increase reflects both valuation gains during a period of elevated global gold prices and a continued preference among central banks for diversifying into non-dollar reserve assets.¹⁰⁶

4.88 The growing share of gold in reserves aligns with a broader international pattern where many emerging markets have increased gold holdings amid geopolitical uncertainty and shifts in the global interest-rate cycle. SDRs remained stable at USD 18.7 billion, while India's reserve position in the IMF increased to USD 4.7 billion.

Exchange rate

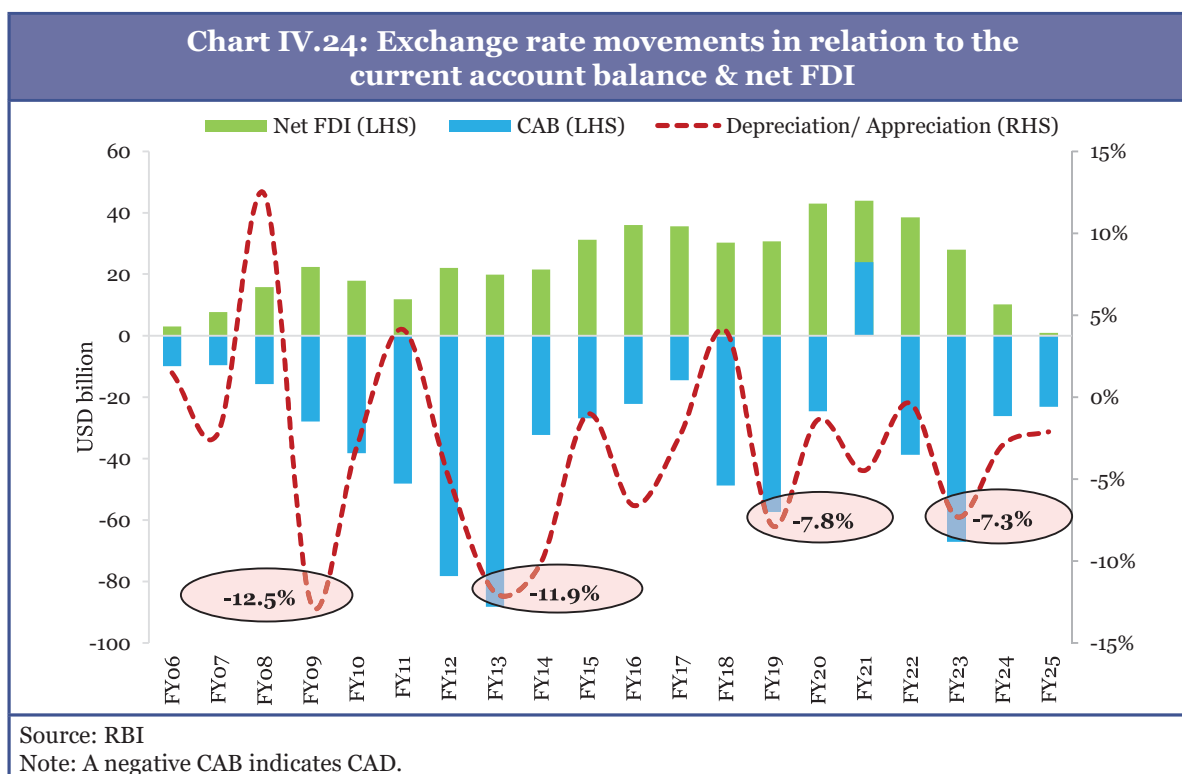
4.89 Between 1 April 2025 and 15 January 2026, the Indian rupee (INR) depreciated by approximately 5.4 per cent against the US dollar. This movement was somewhat larger than in the immediately preceding period, making INR one of the most depreciated currencies alongside the Japanese Yen (-5.5). Other Asian peers experienced relatively lower depreciation, such as the Philippine peso (-3.8 per cent) and the Indonesian rupiah (-1.9 per cent). In contrast, currencies of economies such as Australia, Brazil and

¹⁰⁶ J.P. Morgan Global Research, <https://tinyurl.com/36kb33s6>

South Africa appreciated during this period, supported by favourable terms-of-trade movements.

4.90 In the short run (1 April 2025 – 15 January 2026), exchange rate dynamics in India were shaped by persistent outflows of foreign investment and evolving bilateral trade developments, including tariff-related measures, which together contributed to cautious investor sentiment. These pressures were accompanied by episodes of elevated foreign-currency demand in both spot and forward markets, reflecting hedging behaviour and import-related adjustments.¹⁰⁷ Such factors amplified short-term currency movements even when underlying macroeconomic fundamentals remained stable.

4.91 Traditional BoP inflows, such as exports and foreign capital, that have historically arrested currency depreciation in EMEs, are increasingly influenced by global shifts in geopolitical sentiment.¹⁰⁸ At the same time, import growth, which exerts downward pressure on currencies, tends to rise as these economies advance along their development path. With the certainty of import growth and narrower prospects for the kind of export and capital inflow growth seen during the hyper-globalisation phase, emerging-market currencies can be expected to face persistent depreciation pressures.



4.92 Against this backdrop, India's historical experience also indicates that exchange-rate outcomes are shaped by the interaction between the current account position and

¹⁰⁷ SBI Research: <https://tinyurl.com/nr75py78>.

¹⁰⁸ Global Financial Stability Report, IMF: <https://tinyurl.com/52neuvxk>; CEPR: <https://tinyurl.com/bdepraz4>.

capital account dynamics. As shown in Chart IV.24, periods of elevated CAD have generally coincided with sharper rupee depreciation, as observed in FY09, FY13, FY19 and FY23, reflecting pressures from widening merchandise trade deficits. However, there have been notable episodes in which rising imports and a widening trade deficit did not translate into currency depreciation. In FY08, FY18 and FY22, despite a rapid expansion in imports, the rupee appreciated, supported by robust net foreign investment inflows. These episodes underscore that exchange-rate movements are influenced not merely by the size of the trade deficit, but by the composition and stability of capital inflows.

4.93 This historical association between BoP position and exchange rate movements raises an important question about the relative strength of the trade and financial channels through which these effects are transmitted. Box IV.5 extends this analysis by empirically examining how exchange rate variations are transmitted across different components of India's external sector.

BOX IV.5: Trade and financial channels of the exchange rate

This is a continuation of the box item (Box IV.7: Trade and Financial channels of the Exchange rate) seen in the Economic Survey of 2023-24.

The previous analysis (published in July 2024) explored the contrasting impact that a weaker currency has on the two key components of the BoP – trade and finance.¹⁰⁹ The trade channel of the BoP gained from a weaker currency, due to a rise in the cost of imports and reducing export prices. On the other hand, a weaker currency does not benefit the financial channel of the BoP. Prolonged currency weakness can raise the cost of foreign lending and lead to a net capital outflow. The box concluded that for India, the benefits stemming from a weaker currency on the trade channel far outweighed the costs arising from the financial channel. On balance, therefore, a weaker currency was beneficial for India's BoP.

The discussion on whether a weaker currency supports the BoP as opposed to a stronger one continues to be a relevant one. Building on the previous box, this analysis offers a more disaggregated picture of the trade channel of the exchange rate by analysing the impact of exchange rate movements on both merchandise and services trade. The analysis utilises external sector data at a quarterly frequency between Q1 of FY12 to Q2 of FY26, employing an autoregressive distributed lag (ARDL) model, which is well-suited for small sample regressions and controls for endogeneity.

The study employs four separate ARDL regressions using dependent variables such as net total trade, net merchandise trade, net services trade and net capital balance. The basic form of the regression is as shown below:

$$\Delta \ln Y_t = \gamma_i \sum Y_{t-1} + \beta_i \sum \Delta \text{Exch Rate}_t + \theta X_t + \varepsilon_t$$

¹⁰⁹ For a detailed exploration of the trade and financial channel of the exchange rate, see for instance, Kearns, J., & Patel, N. (2016). Does the financial channel of exchange rates offset the trade channel?. BIS Quarterly Review December, <https://tinyurl.com/m74y6t4u>.

Where $\ln Y_t$ refers to BoP variables such as net total trade, net merchandise trade, net services trade and net capital balance. The nominal effective exchange rate (NEER) is the exchange rate variable of interest for the regression which analyses net total trade and net merchandise trade. For the regression which analyses services trade, the relevant exchange rate variable is Rupee denominated in US dollar terms.¹¹⁰ Finally, the regression which analyses the financial channel uses net capital balance as the dependent variable and a debt-weighted exchange rate (DWER) is used as the exchange rate variable. The DWER was constructed using a basket of currencies weighted by their share in India's external debt.

The coefficient β_i indicates the elasticity of changes in BoP variables to changes in the exchange rate. X_t includes control variables such as World imports, 10-year G-sec yield, commodity prices, domestic demand, the GDP deflator, and a dummy for the COVID-19 years (March 2020 to March 2022).

For each regression, optimal lags were selected using Akaike Information Criteria (AIC), Hannan-Quinn Criterion (HQ) and Bayesian Information Criteria (BIC). Post-estimation checks for autocorrelation and parameter stability were conducted.

Results and interpretation

The results reaffirm that a weaker exchange rate is beneficial for India's trade balance. A one per cent appreciation of the Rupee results in net total trade declining by 1.26 per cent. If the Rupee strengthens, the merchandise trade balance becomes more negative, with an elasticity of -1.45, indicating that merchandise trade is highly responsive to exchange rate movements. Conversely, if the Rupee weakens, the trade balance improves substantially. On a net basis, therefore, a weaker currency is good for India's merchandise trade balance.

Within the trade basket, services trade exhibits relatively inelastic behaviour, with an elasticity of -0.38. This limited sensitivity likely reflects India's market power in services exports, where demand has become less price-dependent and more reliant on quality and specialised expertise.

Elasticity estimates for the three separate regression pairs - Net total trade: NEER, Net merchandise trade: NEER and Net services trade: USD - are as below:

	Dependent variable		
	Net Total Trade	Net Merchandise Trade	Net Services Trade
NEER	-1.26***	-1.45***	
USD			-0.38

‘***’ denotes significance at the 1 per cent level.

For the financial channel, a one per cent appreciation in India's DWER contemporaneously increases net capital inflows by 0.87 per cent. This may be explained, for instance, by the

¹¹⁰ The USD denominated value of the Indian Rupee showed the highest correlation with services exports as compared to other exchange rate variables. This can be explained by the fact that the US is a major source of India's services trade. Further, nearly 72 per cent of India's software exports (46 per cent of total services exports) are invoiced in the US dollar (Source – RBI's survey on computer service and IT enabled services exports: 2024-25), <https://tinyurl.com/bdh7ja49>.

fact that an appreciation can improve the creditworthiness of local borrowers who have Rupee-denominated assets and borrow in foreign currencies. However, the lagged effect of an appreciation reverses this gain, with capital inflows declining by 1.02 per cent in subsequent periods. This delayed negative impact may reflect central bank intervention following periods of significant appreciation and capital inflows, which moderates exchange rate movements and subsequently affects capital flow dynamics.

Dependent variable: Net Capital Account

Regressor	Long-run Elasticity
DWER	0.87***
DWER (t-1)	-1.02***

‘***’ denotes significance at the 1 per cent level.

Overall, the conclusion remains that substantial gains from a depreciated Rupee in the merchandise trade channel outweigh any costs incurred through the financial channel. This outcome underscores the continued importance of exchange rate competitiveness in supporting India's export-oriented growth strategy.

India's exchange rate: Underlying drivers

4.94 In India's case, as the fastest-growing among major economies, its rapid economic growth is naturally driving up import demand. Faster growth increases the need for machinery, electronics, industrial inputs and energy. Moreover, even an increase in export growth can lead to higher imports, as many export industries rely on imported components to some extent. As a result, strong domestic demand, investment-led expansion, and heavy energy dependence combine to make higher growth translate into higher imports, which are necessary to sustain manufacturing expansion and India's integration into GVCs, resulting in persistent trade deficits, which, in turn, translate into a wider CAD. In addition, sustained demand for gold, even during periods of elevated global gold prices, further pressures the trade balance.

4.95 Financing this current account gap places greater reliance on capital inflows. On this front, India has continued to attract investor interest, as reflected in rising gross FDI inflows (Chart IV.16). However, the global environment has shifted markedly. Policy interest rates in major AEs have risen from near-zero levels to around 4-5 per cent over the past few years, making global capital scarcer and more contested. As a result, India is competing not only with other emerging market economies but also with AEs actively seeking to retain investment onshore. Taken together, growth-led current account pressures and tighter global financial conditions reinforce the exchange-rate pressures on the Indian economy in the prevailing geopolitical environment.

4.96 Stepping back from near-term growth and capital flow dynamics, exchange rate outcomes over the medium to long term are fundamentally anchored in a country's

savings-investment balance and its resulting current account position. Historical experience across economies suggests that sustained currency strength is typically associated with persistently high domestic savings and current account surpluses. Countries such as Japan, South Korea, Singapore, Germany and Switzerland have seen their currencies appreciate steadily over long horizons due to their surplus external positions. Conversely, economies that have transitioned into persistent CADs, notably the UK and the US, have generally experienced weaker currency trajectories over time, notwithstanding episodic phases of strength. This suggests that, going forward, durable currency strength is unlikely without the ability to generate high domestic savings and sustained external surpluses.

4.97 Moreover, international experience further suggests that the transition from persistent CAD to sustained surpluses and correspondingly currency credibility has typically been mediated by the structure and composition of export growth. In this context, Box IV.6 discusses the experience of several East Asian economies, which offers useful insights into the role of manufacturing exports and complementary services in shaping durable exchange-rate outcomes.

Box IV.6: Manufactured Exports, Services and Currency Credibility: Lessons from East Asia

Currencies that are considered stable and credible in global markets usually reflect deeper economic strengths. Beyond sound macroeconomic policy, credibility builds over time when an economy reliably earns foreign exchange, including during periods of stress. Across several successful industrialising economies, especially in East Asia, a common pattern is visible: strong growth in manufacturing exports preceded improvements in current account positions, reserve accumulation and the gradual strengthening of currency credibility.

Rapid growth and investment typically lead to increased imports of machinery, capital goods, intermediate inputs and energy. Unless export capacity expands at a similar pace, growth can place pressure on the BoP.¹¹¹ The East Asian response to this constraint was to make manufacturing exports a central part of their development strategy. In Japan after the Second World War and in South Korea and Taiwan from the 1970s onwards, production shifted progressively toward machinery, transport equipment, electronics, precision instruments, and other complex manufactured goods.¹¹² These sectors connected domestic firms to global supply chains, creating export streams that were larger, more diversified, and more durable than those based on primary commodities or low-value assembly.

Over time, persistent export strength translated into current account surpluses, accumulation of reserves and foreign assets, and greater confidence that these economies could manage

111 Felipe, J. (2018, July). Asia's industrial transformation: The role of manufacturing and global value chains (Part 1) (ADB Economics Working Paper Series No. 549). Asian Development Bank. <https://tinyurl.com/mrdbveay>.

112 Perkins, D. H., & Tang, J. P. (2017). East Asian industrial pioneers: Japan, Korea, and Taiwan. In *Asia's journey to prosperity: Policy, market, and technology* (pp. 169–196). Oxford University Press. <https://doi.org/10.1093/acprof:oso/9780198753643.003.0008>.

external shocks without major disruption. Currency credibility followed this process gradually, as sustained external surpluses, rising foreign asset positions and the resilience of export earnings through global downturns became visible to markets. A notable exception is the US, where the global strength of the dollar reflects financial depth and reserve-currency status rather than export surpluses; this represents a distinct pathway not typically available to late-industrialising economies.

Industrial policy played an important supporting role, but it was designed differently from approaches that rely mainly on permanent protection. In many East Asian cases, support was selective, time-bound and linked to performance. Governments employed tools such as preferential credit, investment coordination, or temporary tariff relief, but these measures were generally accompanied by expectations of improved productivity, increased scale, and entry into export markets. Firms that failed to compete internationally were not guaranteed continued shelter. Export performance thus acted as a practical test of whether capabilities were genuinely being built.

An equally important feature was the careful treatment of protection in different parts of the production system. Policymakers were generally cautious about extending strong protection to upstream producers of basic materials and intermediate goods, such as steel, petrochemicals or industrial fibres, when these inputs were widely used across downstream manufacturing.¹¹³ High protection in these upstream sectors risked raising costs for a much larger set of firms engaged in export-oriented production. Where investment in upstream capacity was encouraged, it was usually combined with an emphasis on cost competitiveness and export orientation, rather than insulation that shifted costs onto user industries. The experience suggests that, in complex industrial ecosystems, decisions about what not to protect can be as important as decisions about what to support.

Within firms, this policy structure encouraged learning and technological upgrading. Access to imported capital goods, investments in technical education, standards and testing infrastructure, and targeted research support helped raise productivity in manufacturing. As firms moved into higher-value segments, exports became more sophisticated and less easily replaceable. This complexity provided a degree of resilience: participation in GVCs and the reliability associated with these products helped sustain foreign exchange earnings even when global conditions weakened.

The result was not an immediate transformation of currency status, but a steady strengthening of BoP fundamentals. Japan's emergence as a major exporter in the 1960s and 1970s, and Korea and Taiwan's transition to sustained current account surpluses after the 1980s, coincided with greater confidence in their ability to manage external risks. In each case, the credibility of the currency reflected the accumulated strength of the external sector, rather than being achieved solely through financial signalling.

A natural question in the contemporary context is whether strong service exports can play a similar role. Modern tradable services, including information technology, logistics, finance and business services, are now significant contributors to export earnings in many economies.

¹¹³ Ibid note 111.

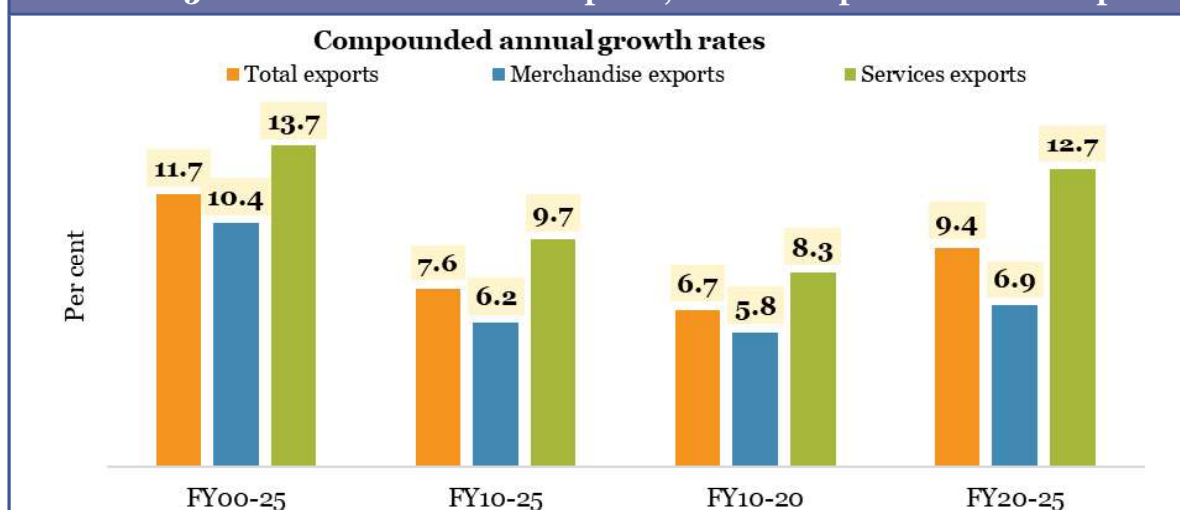
They support income growth and help moderate external pressures. However, international experience indicates that services exports, by themselves, rarely generate the same degree of scale, employment linkages, or counter-cyclical support as broad-based manufacturing export growth, particularly in large and fast-growing economies.¹¹⁴

Overall, the East Asian experience points to a broad conclusion. Durable external resilience and stronger currency credibility have, in most successful late-industrialising economies, emerged from the gradual build-up of manufacturing export capacity, supported by disciplined, productivity-oriented industrial policy, careful management of input costs across value chains, and the complementary growth of high-value services. Where this combination has persisted over time, the outcome has been more robust external balances and greater confidence in the economy's ability to navigate global shocks.

4.98 These cross-country experiences highlight that durable currency strength has rarely emerged as a by-product of financial openness or macroeconomic signalling alone. Instead, it has been grounded in the gradual build-up of export capabilities, particularly in manufacturing. For India, this implies that improving medium-term exchange-rate outcomes is inseparable from building a strong and competitive manufacturing base anchored in export growth.

4.99 Manufacturing exports remain the most reliable channel through which productivity gains, scale economies and global demand can be translated into durable current account improvement. While India's manufacturing base has expanded in absolute terms, progress in moving towards more sophisticated and diversified export capabilities has been uneven. This is reflected in India's trajectory on the ECI, as discussed in paragraph 4.44 above. As shown in Chart IV.25, the CAGR of services exports has consistently exceeded that of merchandise exports.

Chart IV.25: CAGR of merchandise exports, services exports and total exports



Source: FTPA, Department of Commerce (<https://tinyurl.com/mw864w62>) and DBIE, RBI (<https://tinyurl.com/58jae338>).

¹¹⁴ Trade in Services & Employment (UNCTAD), <https://tinyurl.com/2pwwephp>.

4.100 Innovation-related indicators present a similar picture of gradual progress accompanied by relative slippage. India has improved its standing in the World Intellectual Property Organisation's Global Innovation Index over the past decade and is consistently assessed as performing above expectations for its income level. These gains can be attributed to policy reforms, digital transformation, and a vibrant startup ecosystem. However, India's improvement has been slower than that of several peer economies, including China, particularly on indicators related to high-technology manufacturing and private R&D expenditure. This suggests that while innovation inputs have strengthened, their translation into globally competitive manufacturing and export outcomes remains incomplete.

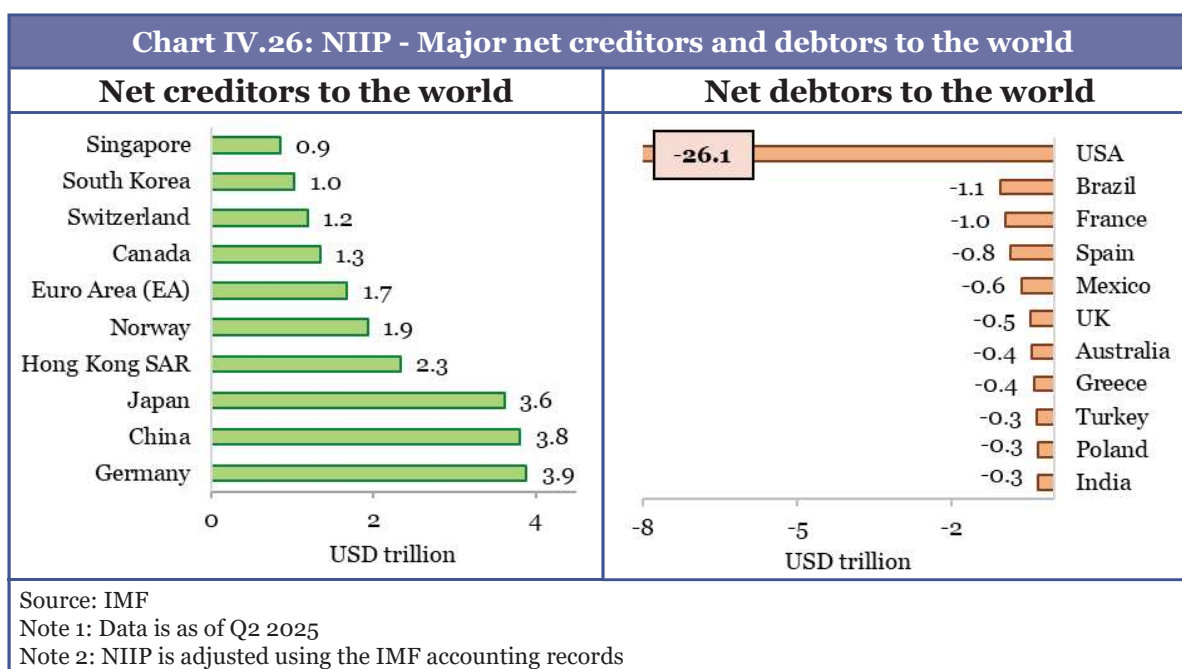
4.101 Sustained export competitiveness will ultimately rest on the ability to deliver consistent quality at scale, which in turn depends on a deeper culture of innovation, continuous productivity improvement and investment in R&D by the private sector. Government initiatives, such as the ANRF and RDIF, can act as catalytic enablers in this process; however, the primary onus will lie with the private sector to scale up R&D spending, adopt advanced technologies and internalise quality-driven production norms. This transformation will also require states to create an enabling ecosystem for innovation, investment, and industrial scaling, so that these forces can operate effectively, as discussed in greater detail in Chapter 16 of this Survey.

4.102 Complementing this process, FDI assumes a critical role beyond its contribution to financing. Stable FDI facilitates technology transfer, productivity enhancement and integration into GVCs, thereby strengthening export capacity and productivity over time. Deeper GVC integration, however, will require a coordinated, mission-mode approach involving close inter-ministerial collaboration at the Union level and effective coordination with State governments. Portfolio flows, by contrast, are inherently more volatile and sensitive to shifts in global financial conditions. Policy efforts in this domain should therefore prioritise ease of doing business through procedural simplification, streamlining tax processes and facilitating greater participation by non-resident investors.

4.103 Over the long run, the exchange rate outcomes are thus a reflection of economic fundamentals. At the same time, in the short term, they are shaped by investor sentiment and capital flow dynamics, leading to phases of both undershooting and overshooting relative to fundamentals. Over time, however, currency performance will be determined by the economy's ability to generate domestic savings, sustain external balance, attract stable FDI, and build export competitiveness rooted in innovation, productivity and quality.

International Investment Position

4.104 Over the past decade, changes in the Net International Investment Position (NIIP)¹¹⁵ have shaped the world's external wealth landscape. In CY 2024, Germany overtook Japan to become the world's largest creditor nation for the first time in 34 years,¹¹⁶ reflecting its sustained current account surpluses and strong trade performance. This position was maintained in Q2 CY 2025, with Germany and China emerging as the two largest creditor economies, followed closely by Japan, with a NIIP of USD 3.6 trillion. At the other end of the spectrum, the US remained the world's largest debtor, with a NIIP of USD 26.1 trillion at Q2 CY 2025, followed by Brazil, France and Spain. India ranked as the 11th largest debtor globally, with a negative NIIP of USD 0.3 trillion as of Q2 CY 2025.



4.105 India historically has a net debtor status. During FY25, net claims of non-residents declined by USD 31.2 billion. This was driven by a sharper rise in residents' overseas financial assets (+USD 105.4 billion) compared to external financial liabilities (+USD 74.2 billion). Over 72 per cent of the rise in India's overseas financial assets was due to an increase in overseas direct investment, currency and deposits, and reserve assets. On the liabilities side, inward direct investments, loans, as well as currency and deposits, accounted for over three-fourths of the rise in foreign liabilities during the year.

4.106 India's international financial assets-to-liabilities ratio improved from 74.1 per cent in March 2024 to 77.5 per cent in March 2025, indicating rising resilience.

¹¹⁵ NIIP shows the difference between a country's external assets and liabilities at a specific time. A positive NIIP means a net creditor; a negative NIIP indicates a net debtor.

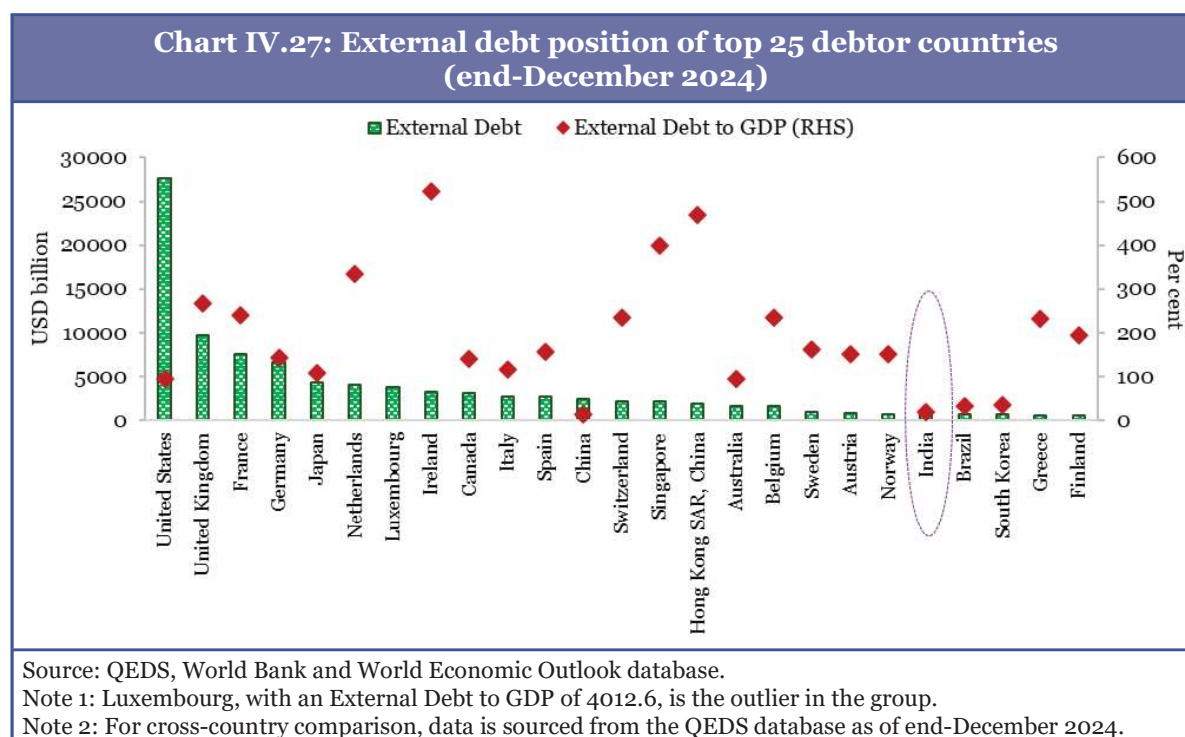
¹¹⁶ Yokoyama, E. (2025, May 27). Germany ends Japan's 34-year run as world's top creditor nation. (Bloomberg), <https://tinyurl.com/43e4upsy>.

Correspondingly, net IIP as a ratio to GDP improved to -8.7 per cent, compared to -10.1 per cent a year ago and -14.1 per cent five years earlier, highlighting a sustained strengthening of India's external balance sheet.¹¹⁷

External debt

4.107 Global external debt continued to rise in CY 2024 amid tight global financial conditions and elevated policy rates. At end-December 2024, global external debt stood at USD 104.4 trillion, up 1.4 per cent from a year earlier. AEs accounted for 88.1 per cent of the total (USD 92.0 trillion), while EMDEs recorded a faster expansion, with external debt rising to USD 12.4 trillion.

4.108 In the global context, India ranked 21st worldwide and 11th within the G20 at end-December 2024, with an external debt stock of USD 718.2 billion, a 10.7 per cent increase YoY. Despite this expansion, India remains modestly leveraged, with an external debt-to-GDP ratio of 18.4 per cent, well below that of many large economies¹¹⁸. Accordingly, India accounts for only 0.69 per cent of global external debt, underscoring its relatively small contribution to global indebtedness.

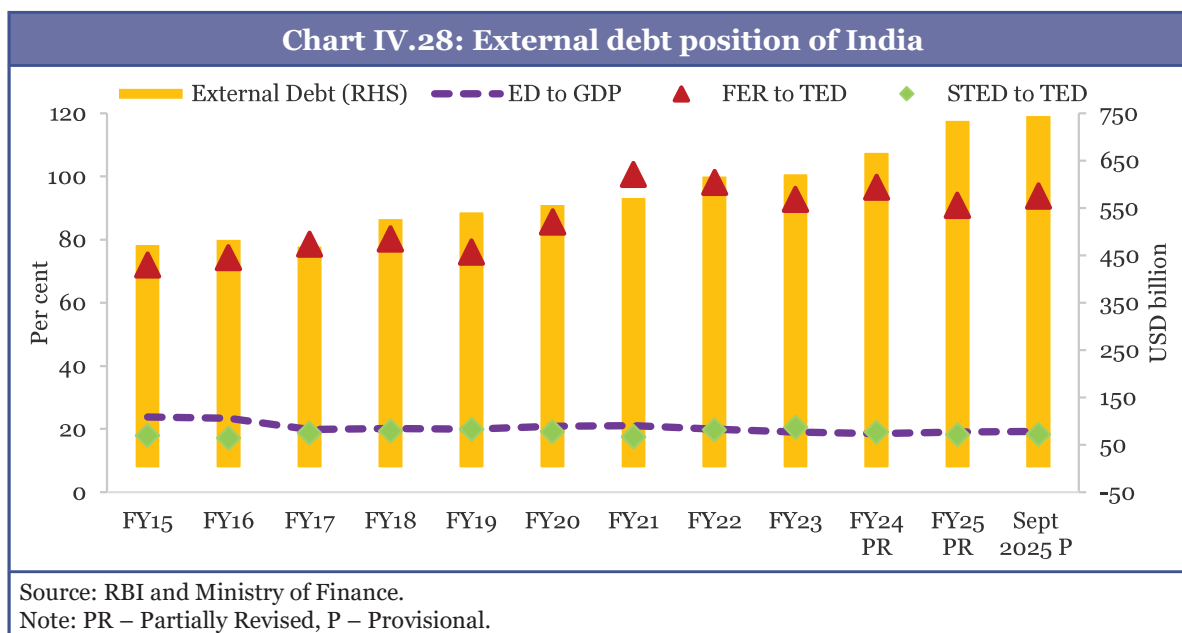


4.109 India's external debt stood at USD 746 billion at end-September 2025, up from USD 736.3 billion at end-March 2025. The external debt-to-GDP ratio has remained broadly stable, averaging around 20.2 per cent over the last decade (end-March 2016

¹¹⁷ India's International Investment Position (IIP), March 2025 (RBI): <https://tinyurl.com/nhd26a65>.

¹¹⁸ Cross-country comparisons are undertaken for CY 2024, in line with the availability of comparable GDP data.

to end-March 2025). Another key factor is that external debt constitutes less than 5 per cent of the government of India's total debt, which mitigates the external sector risks.¹¹⁹



CONCLUSION AND OUTLOOK

4.110 A fundamental reordering of the global economic landscape is shaping India's external sector outlook. Trade, investment and capital flows are increasingly influenced by geopolitical alignments, industrial policy and strategic considerations, implying that the external environment is likely to remain volatile and less supportive than during the earlier phase of hyper-globalisation. For emerging market economies, this shift entails greater competition for capital, slower expansion of global trade volumes and heightened sensitivity of external flows to policy and geopolitical developments.

4.111 India's external sector remains strong, with deepening global integration driven by robust exports, resilient services trade, and expanding trade networks. This reflects increased competitiveness, diversification, and adaptability to global demand. Services exports lead, while non-petroleum merchandise exports hit record levels, showcasing growth in high-value manufacturing and knowledge trade. This strength is supported by healthy foreign exchange reserves and a moderate external debt profile.

4.112 As growth-driven import demand increases with greater global integration, India's external sustainability depends on the quality and stability of its financing. The

¹¹⁹ RBI Bulletin November 2025: <https://tinyurl.com/9b3ctywc>.

composition of capital inflows is key. FDI is the most stable source, supporting BoP stability, productivity, technology transfer, and export growth. Maintaining FDI amid a competitive global capital market requires improving the investment climate, deeper GVC integration, and coordinated policies across government levels.

4.113 The current environment also highlights the importance of achieving strong export growth, making an export-oriented policy a pressing necessity. A robust and stable currency can only be achieved through export competitiveness. History demonstrates that countries with sustained manufacturing export success are those that have maintained hard currency status, characterised by currency stability and strength.

4.114 This requires a unified effort to reduce manufacturing costs, thereby enhancing the country's export competitiveness. This includes correcting inverted duties, improving logistics infrastructure, lowering logistics costs, and reducing regulatory expenses. Simultaneously, selective import substitution that is not unlimited but grounded in productivity, export competitiveness, and measurable results may be considered.

4.115 In sum, India's external sector enters this phase of global fragmentation with strengthened buffers, diversified trade linkages and improving resilience. The policy challenge lies in leveraging these strengths to sustain external stability while supporting a high-growth trajectory in a world where global integration is increasingly shaped by strategic, rather than purely economic considerations. Over the medium to long term, this underscores the importance of policies that support manufacturing competitiveness, innovation, productivity and quality, alongside efforts to mobilise domestic savings.
